

08 Oct 2026 05:00:26 ET | 74 pages

North America Connectors & Other Components, Electronic Components & Equipment and Hardware & Storage

3Q26 Earnings Preview – Durable AI Demand; Most Bullish On Connectivity

CITI'S TAKE

Our coverage is up +125% YTD on average versus S&P500 +14%, led by outperformance, in descending order, from storage, HW OEMs exposed to AI deployments/enterprise server refresh, and connectivity components. [AI demand and capex](#) remain a key driver of robust demand and meaningful backlog across our coverage with visibility extending via long term contracts, rising backlog and in some cases customer deposits/prepayments. We remain most bullish on the connectivity component names as the growth story broadens beyond IT Datacom and becomes increasingly content, rather than unit. We maintain our positive catalyst watch on Amphenol. For storage, we prefer HDD to NAND given the lower level of competitive intensity and margin expansion potential. Recent news on potential Toshiba's expansion plans have created attractive entry points for HDD names.

We remain most bullish on connectivity components as the growth story broadens beyond IT Datacom and becomes increasingly content, rather than unit, driven. AI & Cloud remain the strongest multi-year driver, with higher data rates, power requirements and system complexity increasing copper, optical and power content per system. Importantly, Defense is emerging as a significant multi-quarter secular growth driver, while data-center power, electrification and grid modernization support strength in Energy. With multiple end markets simultaneously moving toward more connectivity-intensive architectures, we see a broader and more durable growth runway for connectivity suppliers. Prefer APH and GLW.

Next, while we acknowledge our Storage names have seen dramatic moves since our conference, we retain strong conviction in the storage cycle as data storage needs are likely to accelerate, where the evolution from traditional AI to agentic AI is driving a [structural inflection in infrastructure demand](#). Within storage, we expect HDD and NAND shares to remain correlated. We prefer HDD to NAND given lower level of competitive intensity, capex discipline and margin expansion potential. We note the recent share price reaction of HDD names given media discussions (Yahoo Finance, 10/03/2026) on potential Toshiba HDD EB expansion have created [attractive entry points for STX and WDC](#) given strong fundamental backdrop.

Enterprise OEMs are benefitting from infrastructure modernization alongside increasing enterprise AI adoption, driven by escalating tokenomics costs, rising concerns around data security and, data gravity. Heightened backlog is supportive of a multi-year supercycle, with revenues gated by supply constraints. The ability to secure and manage supply is becoming a critical competitive moat which allows companies with scale to gain share. DELL, HPE and AAPL remain our preferred OEMs. We downgrade Xerox to Sell on FCF generation concerns & valuation.

Asiya Merchant, CFA^{AC}

+1-415-951-1752

asiya.merchant@citi.com

Michael Cadiz

+1-415-951-1671

michael.cadiz@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Data Summary

															Current Fiscal Year		Next Fiscal Year	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Rating		Short-Term View	Target Price		ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	EPS		EPS	
						Old	New		Old	New					Old	New	Old	New
Amphenol Corp	APH	US\$	87.55	215,895	07 Oct 16:00	1	nc	Upside ^	105.00	112.00	27.9	0.6	28.5	Dec-25	2.65	2.78	3.38	3.62
Bel Fuse	BELFB	US\$	246.72	3,041	07 Oct 16:00	1	nc	-	325.00	nc	31.7	0.1	31.8	Dec-25	10.39	nc	12.15	nc
CDW Corp	CDW	US\$	136.82	17,105	07 Oct 16:00	2	nc	-	150.00	nc	9.6	1.8	11.5	Dec-25	10.95	11.06	12.20	12.42
Corning Inc	GLW	US\$	163.25	140,622	07 Oct 16:00	1	nc	-	220.00	nc	34.8	0.7	35.4	Dec-25	3.26	3.31	4.34	4.39
Logitech Int'l	LOGI	US\$	102.18	16,429	07 Oct 16:00	1	nc	-	120.00	nc	17.4	1.6	19.0	Mar-26	5.71	nc	6.17	nc
Sandisk Corp	SNDK	US\$	1,692.42	245,955	07 Oct 16:00	1	nc	-	2,100.00	nc	24.1	0.0	24.1	Jun-26	205.36	215.06	268.28	290.45
Seagate Technology Holdings Plc	STX	US\$	807.25	184,893	07 Oct 16:00	1	nc	Upside	1,300.00	nc	61.0	0.4	61.4	Jun-25	15.58	nc	35.24	38.24
Super Micro Computer, Inc.	SMCI	US\$	44.94	29,524	07 Oct 16:00	2H	nc	-	39.00	45.00	0.1	0.0	0.1	Jun-26	4.88	nc	6.01	nc
TE Connectivity Ltd.	TEL	US\$	215.83	62,486	07 Oct 16:00	1	nc	-	230.00	nc	6.6	1.3	7.9	Sep-25	11.43	11.45	12.66	12.98
Western Digital Corp	WDC	US\$	405.30	151,407	07 Oct 16:00	1	nc	Upside	740.00	nc	82.6	0.1	82.7	Jun-26	20.69	22.09	32.32	37.02
Xerox Holdings	XRX	US\$	3.01	395	07 Oct 16:00	2H	3H	-	3.45	2.50	-16.9	3.3	-13.6	Dec-25	0.24	nc	0.23	nc
1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk						ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change												
Source: Citi Research						^Catalyst Watch												

Earnings Estimates

Company Name	Ticker	Last Rpt Year	Currency	Last Reported Year					Current Fiscal Year					Next Fiscal Year				
				1Q	2Q	3Q	4Q	FY0	1Q	2Q	3Q	4Q	FY1	1Q	2Q	3Q	4Q	FY2
Amphenol Corp	APH	Dec-25	US\$	0.32	0.40	0.46	0.49	1.67	0.53	0.68	0.77	0.80	2.78	0.79	0.85	0.97	1.01	3.62
Old		Dec-25	US\$	0.32	0.40	0.46	0.49	1.67	0.53	0.68	0.71	0.73	2.65	0.76	0.81	0.89	0.91	3.38
Bel Fuse	BELFB	Dec-25	US\$	1.35	1.67	2.09	1.97	7.09	1.81	2.90	2.84	2.73	10.39	2.59	3.16	3.20	3.20	12.15
CDW Corp	CDW	Dec-25	US\$	2.15	2.60	2.71	2.57	10.02	2.28	2.91	3.11	2.78	11.06	2.58	3.17	3.28	3.40	12.42
Old		Dec-25	US\$	2.15	2.60	2.71	2.57	10.02	2.28	2.91	2.93	2.85	10.95	2.50	3.13	3.12	3.45	12.20
Corning Inc	GLW	Dec-25	US\$	0.54	0.60	0.67	0.72	2.54	0.70	0.78	0.90	0.93	3.31	0.90	1.02	1.21	1.26	4.39
Old		Dec-25	US\$	0.54	0.60	0.67	0.72	2.54	0.70	0.78	0.87	0.92	3.26	0.88	1.04	1.16	1.26	4.34
Logitech Int'l	LOGI	Mar-26	US\$	1.26	1.45	1.93	1.13	5.78	1.85	1.29	1.45	1.12	5.71	1.48	1.46	1.98	1.24	6.17
Sandisk Corp	SNDK	Jun-26	US\$	1.21	6.20	23.41	39.25	70.99	47.34	54.19	52.36	61.30	215.06	69.51	77.30	69.79	73.86	290.45
Old		Jun-26	US\$	1.21	6.20	23.41	39.25	70.99	45.76	51.55	50.61	57.56	205.36	64.52	71.31	64.34	68.12	268.28
Seagate Technology Holdings Plc	STX	Jun-25	US\$	1.58	2.03	1.90	2.59	8.11	2.61	3.11	4.10	5.71	15.58	7.83	8.60	9.74	12.19	38.24
Old		Jun-25	US\$	1.58	2.03	1.90	2.59	8.11	2.61	3.11	4.10	5.71	15.58	7.30	8.06	9.01	10.96	35.24
Super Micro Computer, Inc.	SMCI	Jun-26	US\$	0.37	0.69	0.83	1.70	3.59	1.06	1.16	1.16	1.51	4.88	1.27	1.27	1.44	2.03	6.01
TE Connectivity Ltd.	TEL	Sep-25	US\$	2.05	2.21	2.41	2.59	9.26	2.72	2.73	2.94	3.06	11.45	3.05	3.12	3.33	3.48	12.98
Old		Sep-25	US\$	2.05	2.21	2.41	2.59	9.26	2.72	2.73	2.94	3.05	11.43	3.01	3.08	3.25	3.33	12.66
Western Digital Corp	WDC	Jun-26	US\$	1.78	2.13	2.72	3.56	10.22	4.26	4.84	5.98	7.04	22.09	8.13	8.91	9.46	10.57	37.02
Old		Jun-26	US\$	1.78	2.13	2.72	3.56	10.22	4.02	4.67	5.53	6.50	20.69	7.03	7.64	8.32	9.37	32.32
Xerox Holdings	XRX	Dec-25	US\$	-0.06	-0.64	0.20	-0.09	-0.60	-0.43	0.38	0.00	0.26	0.24	0.07	0.15	0.00	0.02	0.23

Source: Citi Research

3Q26 Earnings Preview

Stock Rankings

Figure 1. Component Stock Rankings

Components							
Rating	Ranking	Prior Ranking	Company Name	Current Price	Target Price	Div Yield (%)	Expected Total Return (%)
Buy	1	5	Amphenol	87.62	112.00	1%	28%
<i>Diversified End Markets; Lead Interconnect in AI/Data Center; Defense Spending Accelerating; Industrial Recovery</i>							
Buy	2	4	Corning	165.01	220.00	1%	34%
<i>Optimistic demand outlook for Optical given AI DC; Solar Opportunity; Strong domestic footprint</i>							
Buy	3	2	Seagate	799.37	1,300.00	0%	63%
<i>HDD demand led by hyperscalers, tight supply demand balance; Capital Allocation</i>							
Buy	4	3	Western Digital	404.19	740.00	0.15%	83%
<i>HDD demand led by hyperscalers, tight supply demand balance, Capital Allocation</i>							
Buy	5	1	Sandisk	1,726.86	2,100.00	0%	22%
<i>SSD demand led by Enterprise, Favorable NAND Trends and Product Mix</i>							
Buy	6	NA	Belfuse Inc	246.59	325.00	0%	32%
<i>Broader Secular Trends in Defense, Aerospace and IT Infrastructure coupled with margin expansion</i>							
Buy	7	6	TE Connectivity	216.61	230.00	1%	7%
<i>Stabilized auto segment representing a significant portion of sales; Improving Industrial and AI Demand</i>							

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet, priced as of 10/6 close

Figure 2. OEMs/Distributors Stock Rankings

OEMs/Distributors							
Rating	Ranking	Prior Ranking	Company Name	Current Price	Target Price	Div Yield (%)	Expected Total Return (%)
Buy	1	1	Dell Technologies	580.72	600.00	0%	4%
<i>Leading AI server supplier to neoclouds, sovereigns, enterprise; Storage attach to drive higher margins;</i>							
Buy	2	2	Hewlett Packard Enterprises	72.90	92.00	1%	27%
<i>Improving mainstream server and networking trends, AI driving TAM expansion in Servers and Scale Up Networking, FCF conversion improving</i>							
Buy	3	NA	AAPL	336.43	365.00	0%	9%
<i>Share gains attributable to its premium customer base and component access. Enhanced Siri AI capabilities to enhance Services segment growth and drive iPhone upgrades</i>							
Buy	4	4	Everpure	151.02	160.00	0%	6%
<i>Proprietary software provides advantage over peers' SSD based solutions. Plus accelerated shift to subscriptions. Additional hyperscaler win announced</i>							
Buy	5	3	Logitech	102.39	120.00	2%	19%
<i>Secular trends in gaming, video conferencing and content creation. Strong FCF generation</i>							
Neutral	6	5	NetApp	235.50	190.00	1%	-18%
<i>Storage TAM seeing AI driven growth, solid cash flow and capital returns program.</i>							
Neutral	7	7	CDW	135.27	150.00	2%	13%
<i>Infrastructure modernization spending partially offsetting softer near-term PC demand trends, with mix-related margin pressures reflected in undemanding valuation</i>							
Neutral High Risk	8	6	Super Micro	44.50	45.00	0%	1%
<i>Continues to benefit from broader secular trends in AI-driven infrastructure. Margin volatility is a concern, coupled with FCF generation and need for additional capital</i>							
Neutral	9	8	HP Inc	32.18	25.00	4%	-19%
<i>PC units to decline yy limiting margin expansion potential</i>							
Sell High Risk	10	9	Xerox	3.02	2.50	3%	-14%
<i>Flat to declining printer market, major restructuring underway, pivot to IT Services likely to take time.</i>							

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet, priced as of 10/6 close

End Market Fundamentals

Figure 3. End Market Demand

End Market	% of Semi TAM	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25	1Q26	2Q26	3Q26E	4Q26E
PC	18%	stable	stable	stable	stable	stable	stable	mixed	stable	stable	falling	falling	weak	weak
Wireless	16%	stable	stable	stable	stable	stable	stable	stable	stable	stable	falling	falling	weak	weak
Industrial	9%	falling	falling	falling	mixed	weak	mixed	improving	improving	improving	improving	improving	improving	stable
Consumer	6%	weak	weak	stable	stable	mixed	stable	stable	improving	improving	falling	falling	weak	weak
Comm Infra	3%	weak	weak	weak	improving	improving	mixed	mixed	improving	improving	improving	improving	good	good
Automotive	10%	falling	falling	falling	mixed	mixed	weak	weak	weak	mixed	mixed	improving	improving	improving
Data Center	38%	mixed	improving	improving	improving	good	good	good	strong	strong	strong	strong	strong	strong

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Data center demand robust

Citi models Global AI Demand capex to grow +106% YoY in 2026 after doubling last year and expect 2027 capex to be up ~56% YoY.

Figure 4. Cloud Provider Data Center Capex

\$ millions	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Amazon (AWS)	31,878	31,385	53,436	90,080	167,215	244,101	301,034	345,349	391,056
Meta	32,036	28,103	39,225	72,215	143,665	205,311	249,009	272,201	301,102
Google	31,485	32,251	52,535	91,447	204,489	321,573	407,604	481,770	553,707
Microsoft (Azure)	22,277	34,373	67,746	108,836	174,121	252,924	305,699	340,325	378,873
Big Four US	117,676	126,112	212,942	362,579	689,490	1,023,908	1,263,346	1,439,644	1,624,739
Total Global	\$132,223	\$138,466	\$253,279	\$498,632	\$1,027,931	\$1,602,282	\$2,128,414	\$2,895,871	\$3,758,819

Year-over-Year (%)	2022	2023	2024	2025	2026E	2027E	2028	2029	2030
Amazon (AWS)	29%	-2%	70%	69%	86%	46%	23%	15%	13%
Meta	65%	-12%	40%	84%	99%	43%	21%	9%	11%
Google	28%	2%	63%	74%	124%	57%	27%	18%	15%
Microsoft (Azure)	10%	54%	97%	61%	60%	45%	21%	11%	11%
Big Four US	32%	7%	69%	70%	90%	49%	23%	14%	13%
Total	27%	5%	83%	97%	106%	56%	33%	36%	30%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Figure 5. Citi Server Forecast

	2024	2025	2026F	2027F	2028F
Global Capex (Citi model)	253,279	498,632	1,027,931	1,602,282	2,128,414
y/y	82.9%	96.9%	106.2%	55.9%	32.8%
% of Capex	54.8%	70.0%	80.0%	80.0%	80.0%
IT Capex (Citi + DellOro)	\$462,262	\$712,331	\$1,284,914	\$2,002,852	\$2,660,518
y/y	53.1%	54.1%	80.4%	55.9%	32.8%
Servers	\$254,493	\$453,533	\$835,194	\$1,261,797	\$1,596,311
y/y	72.8%	78.2%	84.2%	51.1%	26.5%
% of Capex	55.1%	63.7%	65.0%	63.0%	60.0%
Total Server shipments	14,553,178	16,781,104	20,989,299	28,194,980	34,049,770
-y/y	17.6%	15.3%	25.1%	34.3%	20.8%
AI Server Shipment	2,400,016	3,103,116	5,474,334	8,117,378	11,319,556
-y/y	46.7%	29.3%	76.4%	48.3%	39.4%
% of total shipments	16.5%	18.5%	26.1%	28.8%	33.2%
AI Server spend (\$M)	143,238	320,413	613,647	880,370	1,256,530
-y/y	142.4%	123.7%	91.5%	43.5%	42.7%
% of total server spend	56.3%	70.6%	71.4%	73.3%	78.1%
Non AI server shipments	12,153,162	13,677,988	15,514,965	20,077,602	22,730,214
-y/y	13.2%	12.5%	13.4%	29.4%	13.2%
% of total shipments	83.5%	81.5%	73.9%	71.2%	66.8%
Non AI Server Spend (\$M)	111,255	133,120	246,272	320,153	352,169
-y/y	26%	20%	85%	30%	10%
% of total server spend	43.7%	29.4%	28.6%	26.7%	21.9%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, IDC

Figure 6. Networking Market Growth

Networking Industry Outlook CY26-29	
Data Center	44%
Routing	20%
Campus and Branch	6%
Security	12%
Total	18%

Source: Dell O'ro, 650 Group, HPE Investor Day Slides

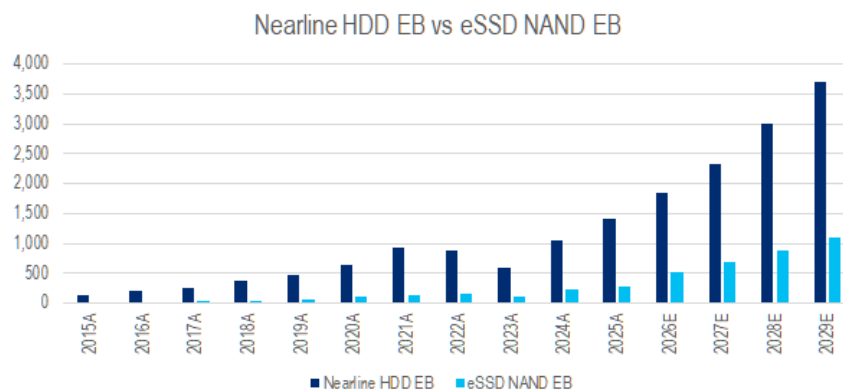
Figure 7. Citi Storage Model

(US\$ Billion)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	CAGR CY25-30
Enterprise Storage Systems	\$126.1	\$148.3	\$169.5	\$275.3	\$474.5	\$723.3	\$1,037.4	\$1,222.7	\$1,415.7	\$1,593.9	27.4%
Total Storage Revenue Y/Y	6.4%	17.6%	9.8%	62.5%	72.4%	52.4%	43.4%	17.9%	15.8%		
Worldwide Enterprise Storage Systems Vendor Revenue by Storage Location, (\$B)											
External	\$31.6	\$33.6	\$32.7	\$33.9	\$35.3	\$43.4	\$45.2	\$47.3	\$49.6	\$52.0	8.0%
Y/Y Change	13.9%	6.2%	-2.9%	3.6%	4.3%	22.8%	4.1%	4.8%	4.8%	5.6%	
Internal	72	87	86	138	187	332	461	530	613	682	29.5%
Y/Y Change	12.3%	20.7%	-1.4%	60.3%	35.4%	77.1%	38.8%	15.2%	15.5%	9.5%	
Other (ODM Direct)	28	35	58	113	263	367	558	674	786	896	27.8%
Y/Y Change	7.1%	22.2%	48.2%	94.8%	132.5%	39.4%	51.9%	20.8%	16.7%	18.3%	
Worldwide External Enterprise Storage Systems Revenue by Storage Array Type, (\$B)											
All-flash arrays (AFAs)	\$12.9	\$14.6	\$14.0	\$14.9	\$17.3	\$22.1	\$23.3	\$25.2	\$27.7	\$30.4	12.0%
Y/Y Change	16.0%	13.6%	(4.4%)	6.5%	15.8%	28.0%	5.3%	8.4%	10.0%	9.7%	
Hybrid flash arrays (HFAs)	\$12.6	\$13.5	\$14.0	\$14.8	\$14.1	\$16.7	\$17.5	\$18.0	\$18.0	\$18.0	5.0%
Y/Y Change	13.2%	6.6%	4.0%	5.7%	(5.1%)	18.9%	4.3%	2.9%	0.4%	(0.4%)	
HDD-only	\$6.0	\$5.5	\$4.7	\$4.1	\$4.0	\$4.5	\$4.4	\$4.1	\$3.8	\$3.5	-2.2%
Y/Y Change	10.8%	(9.2%)	(15.1%)	(11.5%)	(3.5%)	14.1%	(2.4%)	(6.5%)	(7.4%)	(7.3%)	
Total External	\$31.6	\$33.6	\$32.7	\$33.9	\$35.3	\$43.4	\$45.2	\$47.3	\$49.6	\$52.0	8.0%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, IDC

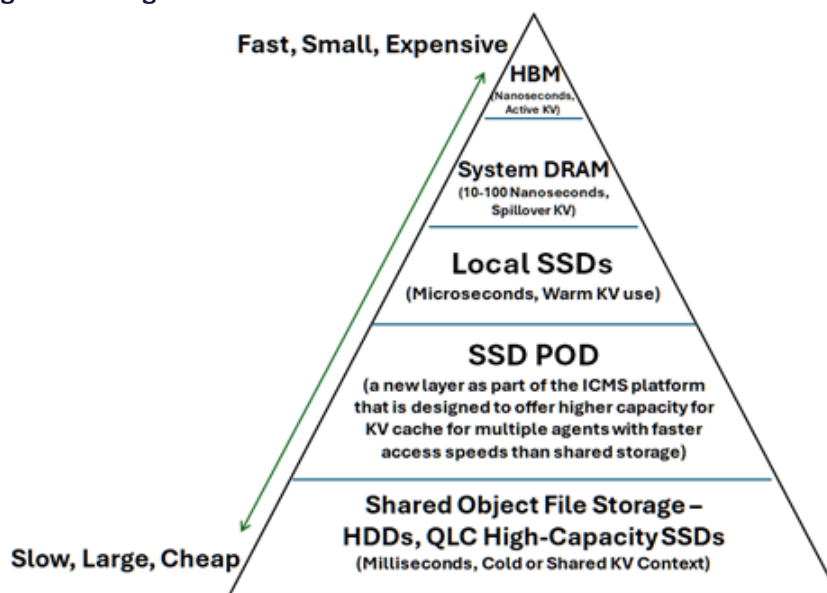
Figure 8. Nearline HDD & eSSD NAND EB Forecast



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, TrendFocus

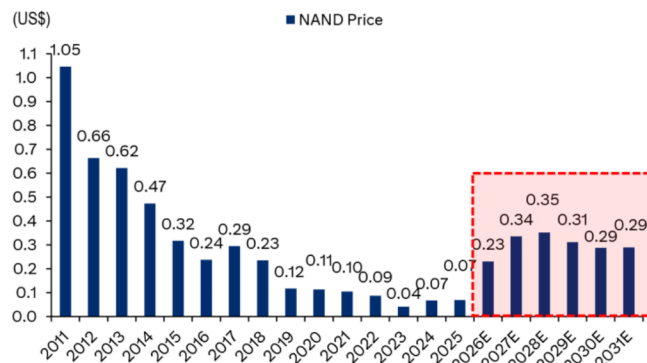
Figure 9. Storage Tiers



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

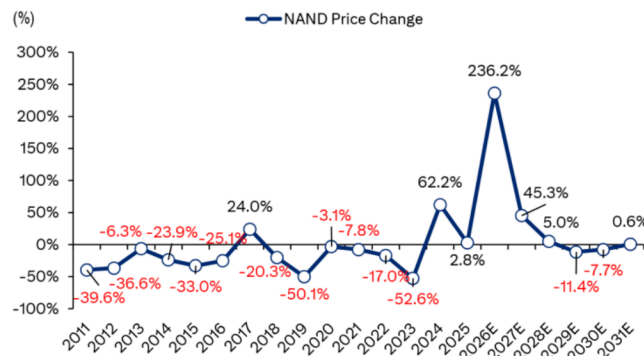
Source: Citi Research

Figure 10. NAND ASP Outlook



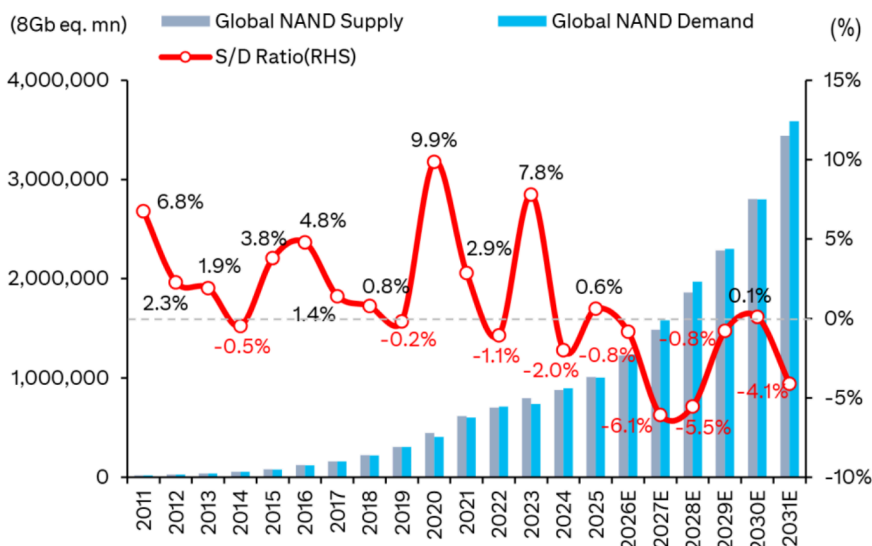
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, TrendForce

Figure 11. NAND ASP Change



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, TrendForce

Figure 12. NAND Supply/Demand Outlook



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, DRAMeXchange, see for more details: <https://www.citivelocity.com/t/eppublic/4eN61>

Weakening PC and Smartphone Demand

We believe 2Q marked the end of nine consecutive quarters of y/y PC growth driven by pull-forward demand ahead of anticipated component price increases. While memory shortages are expected to persist into early 2028, we expect PC shipments to remain under pressure as higher system prices weigh on demand, with access to memory and chipsets becoming an increasingly important share-gain driver. We have updated our forecasts to reflect 2Q actuals and now model a steeper 1H27 decline (-14% y/y), resulting in CY27 PC units declining 4% versus our prior flat outlook. That said, we expect vendor price increases to largely offset unit weakness, leaving industry revenues relatively stable despite softer shipment trends.

Figure 13. Citi PC Model. Full details available upon request

Year	Form Factor	Citi Research		Citi Research	
		Units (M)	Y/Y	Revenues (\$ bln)	Y/Y
2024	Desktop	73	1%	51	2%
	Portable	189	4%	174	9%
	Total Client PCs	262	3%	225	8%
	Tablets (including 2 in 1)	145	12%	61	15%
	Total PCs + ALL Tablets	406	6%	286	9%
2025	Desktop	84	15%	60	18%
	Portable	205	9%	199	14%
	Total Client PCs	289	10%	259	15%
	Tablets (including 2 in 1)	152	5%	63	3%
	Total PCs + ALL Tablets	440	8%	321	12%
2026E	Desktop	73	(12.4%)	63	6%
	Portable	182	(11.3%)	212	7%
	Total Client PCs	255	(11.6%)	275	6%
	Tablets (including 2 in 1)	135	(11%)	57	(9%)
	Total PCs + ALL Tablets	390	(12%)	332	3%
2027E	Desktop	70	(4.2%)	64	1%
	Portable	174	(4.1%)	215	1%
	Total Client PCs	245	(4.1%)	279	1%
	Tablets (including 2 in 1)	133	(1%)	57	1%
	Total PCs + ALL Tablets	378	(3%)	337	1%
2028E	Desktop	71	1.5%	63	(1%)
	Portable	178	2.1%	213	(1%)
	Total Client PCs	249	2.0%	276	(1%)
	Tablets (including 2 in 1)	135	1%	59	3%
	Total PCs + ALL Tablets	385	2%	336	(0%)

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, IDC

Citi expects [2026 global smartphone shipment to decline ~14%](#) to 1.09bn units. For 2H26, Citi believes smartphone OEMs could continue to pass through certain cost pressure to customers, while margins should face further pressure as most low-price memory inventory has been used up.

Figure 14. Global Smartphone Shipment Forecasts

Unit mn	2020A	2021A	2022A	2023A	2024A	2025A	New			Old			Difference		
							2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
China	326	329	286	271	286	284	254	251	265	251	273	287	1.2%	-8.0%	-7.7%
India	150	161	144	145	151	152	129	126	140	107	132	146	21.1%	-4.4%	-4.1%
Japan	33	37	34	30	30	32	30	32	33	28	30	31	5.6%	5.3%	5.0%
Other APAC	157	168	142	135	148	152	132	125	137	118	135	141	11.8%	-6.9%	-2.5%
North America	147	163	150	140	137	143	130	138	144	130	138	144	0.0%	0.0%	0.0%
Latin America	124	135	126	124	134	132	111	118	129	104	118	129	6.0%	0.0%	0.0%
Western Europe	112	118	113	106	102	104	88	92	97	87	97	102	0.2%	-4.9%	-4.7%
CEMA	233	249	211	213	246	263	217	231	260	216	246	271	0.4%	-6.1%	-4.1%
Total	1,281	1,360	1,206	1,165	1,236	1,263	1,090	1,114	1,205	1,042	1,169	1,252	4.6%	-4.7%	-3.7%
Y/Y Growth	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2026E	2027E	2028E			
China	-11.2%	1.1%	-13.3%	-5.1%	5.6%	-0.6%	-10.7%	-1.0%	5.4%	-11.7%	8.8%	5.2%			
India	-1.7%	7.3%	-10.2%	0.8%	3.9%	0.5%	-14.9%	-2.2%	11.1%	-29.7%	23.8%	10.8%			
Japan	5.9%	10.7%	-7.5%	-11.3%	0.6%	5.6%	-6.4%	5.6%	4.6%	-11.2%	6.0%	4.9%			
Other APAC	-2.0%	7.1%	-15.3%	-5.2%	9.8%	2.4%	-12.9%	-5.1%	9.6%	-22.0%	14.0%	4.6%			
North America	-9.9%	11.2%	-7.9%	-7.0%	-1.9%	4.6%	-9.6%	6.1%	4.4%	-9.6%	6.1%	4.4%			
Latin America	-10.9%	8.5%	-6.4%	-1.2%	7.7%	-1.1%	-16.4%	6.8%	9.1%	-21.0%	13.2%	9.1%			
Western Europe	-8.7%	5.8%	-4.9%	-5.8%	-3.4%	1.9%	-16.1%	5.3%	5.6%	-16.1%	10.9%	5.4%			
CEMA	-2.2%	6.7%	-15.3%	1.0%	15.8%	6.8%	-17.5%	6.3%	12.4%	-17.6%	13.7%	10.1%			
Total	-6.7%	6.1%	-11.3%	-3.4%	6.1%	2.2%	-13.7%	2.1%	8.2%	-17.4%	12.2%	7.1%			

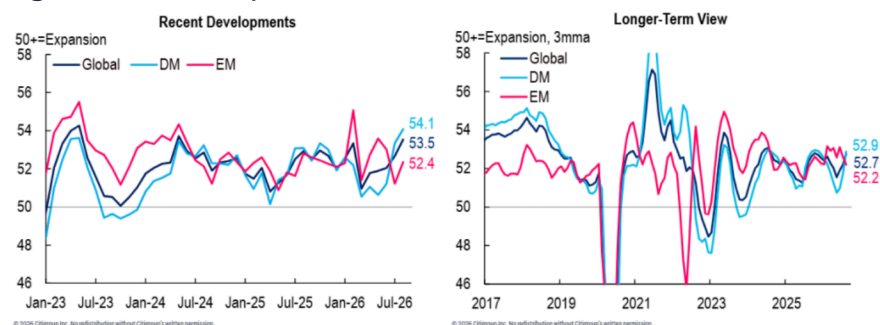
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, IDC

Industrial Market Remains Strong

The global manufacturing and services PMI are both comfortably in expansion despite ongoing challenges from the US-Iran conflict. The global manufacturing PMI remains strong relative to its lackluster readings over the past several years, standing at 52.3. This improved performance has primarily reflected the AI-infrastructure buildout. The global electronics PMI has risen sharply in recent months, and key AI-producing economies including Taiwan, Japan, Korea, and the United States have seen meaningful gains since the start of the year.

Figure 15. Global Composite PMIs



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, S&P Global, Haver Analytics

Figure 16. Industrial Sequential Growth & Commentary

Industrial	June Q	Sep Q	Commentary
Amphenol	13%	flat	Broad-based strength across all industrial segments, including factory automation and electrification.
NXPI	20%	5%	Core industrial business is returning to growth
Renesas	7%	6%	Data center drove majority of the strength. Demand for ASICs exceeded expectation
STMicro	20%	12%	Factory automation, robotics, and power infrastructure for Physical AI.
TEL	11%		AI momentum in Digital Data Networks (DDN) and Energy businesses.
TXN	10%	Above seasonal	Demand currently remains below trend; customers are not yet building inventory, which is viewed as a positive setup.

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Auto demand remains flattish, slight improvement from earlier

Figure 17. Global Auto Production

	NEW						PREVIOUS					
	2025	2026	2027	2028	2029	2030	2025	2026	2027	2028	2029	2030
Europe	17.0	17.1	16.8	16.9	17.6	17.7	17.0	17.0	16.9	17.1	17.5	17.7
N.America	15.3	15.0	15.2	15.4	15.7	16.1	15.3	15.1	15.2	15.5	15.7	16.0
S.America	3.1	3.2	3.4	3.7	4.1	4.3	3.1	3.2	3.4	3.6	3.8	4.0
China	33.1	31.1	31.3	31.2	32.0	32.7	33.1	31.4	31.4	31.4	32.1	32.8
Asia ex China	22.2	23.1	23.1	23.6	23.7	24.1	22.2	22.7	22.5	23.1	23.4	23.9
Asia	55.3	54.2	54.3	54.7	55.7	56.8	55.3	54.1	54.0	54.5	55.5	56.7
Global	93.1	91.5	91.9	93.2	95.5	97.3	93.1	91.3	91.7	93.1	95.0	96.9

	NEW								PREVIOUS							
	1Q25	2Q25	3Q25	4Q25	1Q27	2Q27	3Q27	4Q27	1Q25	2Q25	3Q25	4Q25	1Q27	2Q27	3Q27	4Q27
Europe	4.4	4.5	3.8	4.3	4.3	4.5	3.8	4.2	4.4	4.5	3.8	4.3	4.3	4.5	3.9	4.2
N.America	3.7	4.0	3.8	3.6	3.7	4.0	3.8	3.7	3.7	4.0	3.8	3.5	3.7	4.0	3.8	3.7
S.America	0.7	0.8	0.9	0.7	0.8	0.9	0.9	0.8	0.7	0.8	0.8	0.8	0.8	0.9	0.9	0.8
China	6.6	7.5	7.9	9.0	6.7	7.9	7.4	9.3	6.6	7.5	8.0	9.2	6.8	7.9	7.4	9.3
Asia ex China	5.9	5.8	5.7	5.8	5.8	5.7	5.8	5.8	5.9	5.8	5.6	5.5	5.6	5.5	5.6	5.7
ASIA	12.5	13.3	13.6	14.8	12.5	13.6	13.1	15.1	12.5	13.3	13.6	14.7	12.4	13.5	13.0	15.1
Global	21.9	23.1	22.6	23.9	21.9	23.5	22.2	24.4	21.9	23.0	22.6	23.8	21.7	23.4	22.1	24.4

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, SPG

Figure 18. Global Auto Production Forecast

	NEW						PREVIOUS					
	2025	2026	2027	2028	2029	2030	2025	2026	2027	2028	2029	2030
Europe	-0.7%	0.4%	-1.7%	0.6%	-3.9%	0.4%	-0.7%	-0.1%	-0.7%	0.9%	2.8%	0.8%
N.America	-1.1%	-1.6%	1.0%	1.6%	1.9%	2.5%	-1.1%	-1.3%	1.1%	1.7%	1.4%	2.1%
S.America	3.2%	3.3%	7.2%	10.3%	9.2%	5.5%	3.2%	3.2%	7.0%	6.2%	5.5%	5.5%
China	10.0%	-6.0%	0.5%	-0.3%	2.6%	2.3%	10.0%	-5.2%	0.2%	-0.2%	2.5%	2.0%
Asia ex China	2.9%	4.0%	0.0%	2.1%	0.8%	1.5%	2.9%	2.3%	-0.9%	2.8%	0.9%	2.4%
Global	3.9%	-1.8%	0.5%	1.4%	2.5%	1.9%	3.9%	-1.9%	0.4%	1.5%	2.0%	2.0%

Growth

	NEW								PREVIOUS							
	1Q25	2Q25	3Q25	4Q25	1Q27	2Q27	3Q27	4Q27	1Q25	2Q25	3Q25	4Q25	1Q27	2Q27	3Q27	4Q27
Europe	1.2%	1.4%	-0.6%	-0.4%	-2.0%	-0.8%	-1.6%	-2.5%	1.2%	0.3%	-0.8%	-1.4%	-2.0%	0.3%	0.2%	-1.2%
N.America	-1.1%	0.4%	-3.8%	-1.9%	-0.8%	0.7%	-0.5%	4.7%	-1.1%	0.4%	-3.1%	-1.2%	-0.2%	0.8%	-1.3%	5.4%
S.America	4.0%	8.1%	3.2%	-2.2%	8.6%	7.5%	4.7%	8.6%	4.0%	7.6%	0.5%	1.0%	8.8%	8.6%	7.2%	3.2%
China	-7.6%	-3.1%	-6.5%	-7.6%	0.7%	4.9%	-6.8%	3.2%	-7.7%	-3.2%	-4.2%	-5.7%	2.3%	5.6%	-8.0%	1.3%
Asia ex China	5.4%	6.1%	3.7%	0.7%	-0.8%	-1.4%	1.9%	0.3%	5.4%	6.0%	2.7%	-4.5%	-5.0%	-3.7%	0.7%	5.0%
Global	-1.6%	0.8%	-2.3%	-3.7%	-0.3%	1.7%	-1.8%	2.2%	-1.6%	0.5%	-2.2%	-4.2%	-0.8%	1.6%	-2.2%	2.8%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, SPG

Valuation

Figure 19. PE Valuations - Storage



Source: FactSet

Figure 20. PE Valuations - Connectors



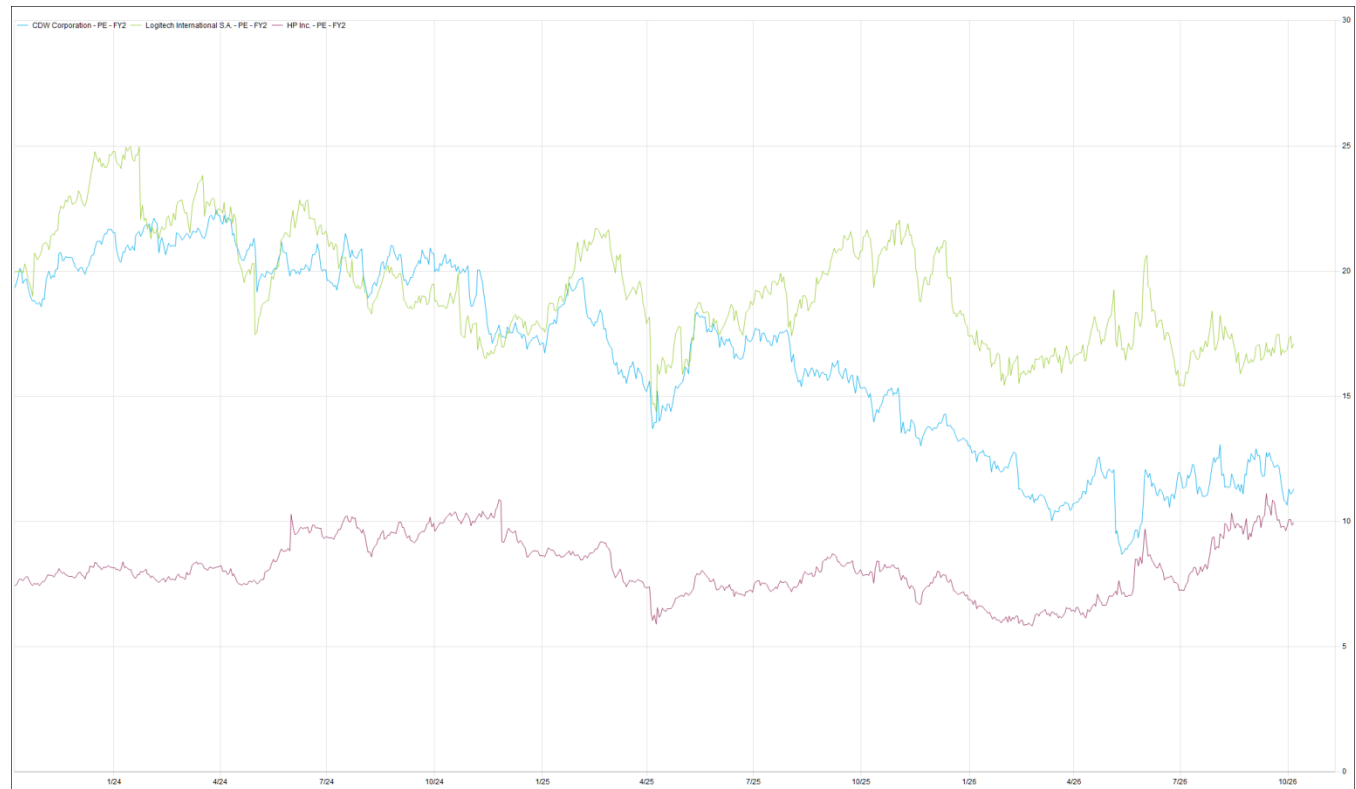
Source: FactSet

Figure 21. PE Valuations – AI OEMs



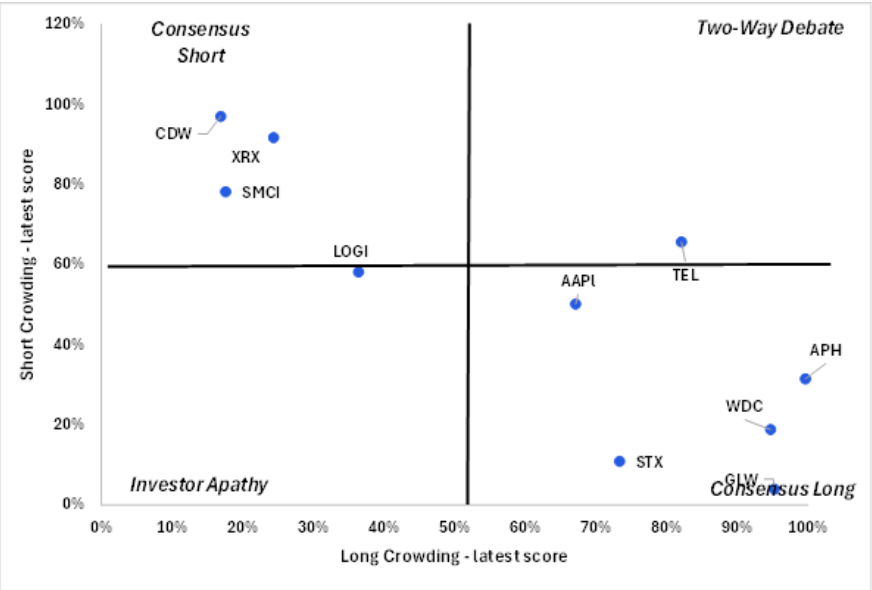
Source: FactSet

Figure 22. PE Valuations – PC-Exposed Names



Source: FactSet

Figure 23. Crowding Scores (Oct 6 2026)



© 2026 Citigroup Inc. No redistribution without Citigroup’s written permission.
Source: Citi Research

Company Previews

Connector End Market Overview

Across end markets, demand is increasingly driven by higher data rates, power requirements, and system complexity rather than pure unit growth. AI & Cloud remains the strongest multi-year driver as continued infrastructure scaling and robust server demand increase copper, optical, and power connectivity content per system. Recent industry commentary continues to support a hybrid architecture rather than a wholesale shift from copper to optics. Copper remains relevant for short-reach, high-power connections, while optical content should increase as data rates rise and reach requirements expand. We expect both technologies to benefit from increasing connectivity requirements, with optical adoption becoming more pronounced in higher-end systems from 2027 through 2029.

Energy also remains strong, supported by data-center power requirements, electrification, grid hardening, and utility modernization. A&D continues to benefit from sustained defense spending, platform upgrades, and growing demand for high-performance connectivity in harsh environments. Automotive content per vehicle continues to rise with ADAS, electrification, and software-defined architectures, although near-term growth remains tempered by uneven vehicle production. Factory Automation appears to be moving beyond the trough, with improving orders and inventory normalization supporting a gradual recovery, while reshoring, labor constraints, and productivity investment remain longer-term demand drivers.

Figure 24. Coverage End Market Exposure

End Market	Amphenol	TE Connectivity	Corning Inc.	Notes
Aerospace/Defense	12%	8%	ND/Marginal	
AI/Data Center & Clou	43%	15%	27%	GLW Optical Enterprise & DCI
Comm Infrastructure	11%	NA	16%	GLW Carrier Broadband
Consumer Electronic:	4%	NA	32%	GLW Includes Display & Specialty
Energy	ND	9%	9%	
Industrial (Automation, Medical etc.)	20%	16%	6%	GLW Life Sciences, APH Energy included
Transportation/Auto	10%	52%	10%	TEL 40% Auto, 8% commercial, 5% sensor

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Figure 25. Connector Industry Book-to-Bill



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bishop Reports

Amphenol Corp (APH)

We expect to see continued robust momentum, as the company continues to capture more than its fair share of expanding interconnect content across their various end markets, outgrowing underlying unit volumes and market growth rates as next-generation products require more electronic and connectivity content. This is most pronounced in IT Datacom, where revenue is compounding rapidly (up 89% y/y and 63% organically) and AI-related sales are growing faster than the segment's traditional base, as content-driven share gain also extends to Automotive (design wins and rising content despite limited unit growth), Mobile Devices, Medical Technology, Defense, Industrial Automation, and Commercial Aerospace. Book-to-bill remains positive across every end market, with orders rising 94% y/y to \$10.7B. The CommScope CCS acquisition is tracking well ahead of initial expectations—now pacing toward >\$4.5B in annual sales (vs. ~\$3.5B at announcement) with expanding operating margins, further reinforcing Amphenol's ability to out-execute and gain share within its acquired portfolio as well.

Beyond datacenter infrastructure, Defense represents an increasingly prominent growth driver; as defense innovation and procurement intensity at levels unseen since WWII and the space race, providing multi-year program visibility across advanced electronics, encryption, and harsh-environment connectivity. We update our estimates to reflect this continued momentum and update our price target to \$112 on 28X PE 24M, and maintain our Buy rating.

Figure 26. Citi Estimates vs Consensus

	3QFY26E				4QFY26E			FY26E			FY27E		
	Citi	Prior Citi	Consensus	Guide	Citi	Prior Citi	Consensus	Citi	Prior Citi	Consensus	Citi	Prior Citi	Consensus
Sales	\$9,630	\$9,392	\$9,438	9.3-9.4 bln	\$9,934	\$9,647	\$9,746	\$35,942	\$35,417	\$35,565	\$45,650	\$44,031	\$42,331
y/y	55.5%	51.6%	52%		54.3%	49.8%	51%	55.6%	53%	54%	27.0%	24.3%	19%
q/q	9.9%	7.2%	8%		3.2%	2.7%	3%						
Gross Profit	\$3,908	\$3,718			\$4,045	\$3,817		\$14,302	\$13,884		\$18,325	\$17,422	
Gross Margin	40.6%	39.6%			40.7%	39.6%		39.8%	39.2%		40.1%	39.6%	
Opex (ex stock comp)	\$964	\$982			\$997	\$1,016		\$3,619	\$3,657		\$4,613	\$4,589	
EBIT	\$2,945	\$2,736			\$3,049	\$2,801		\$10,682	\$10,226		\$13,712	\$12,833	
EBIT Margin	30.6%	29.1%			30.7%	29.0%		29.7%	28.9%		30.0%	29.1%	
Tax Rate	27.0%	27.0%			27.0%	27.0%		27.0%	27.0%		27.0%	27.0%	
Net Income	\$1,989	\$1,837			\$2,066	\$1,886		\$7,174	\$6,841		\$9,376	\$8,735	
Net Income Margin	21%	20%			21%	20%		20%	19%		21%	20%	
EPS	\$0.77	\$0.71	\$0.72	\$0.70 to \$0.71	\$0.80	\$0.73	\$0.74	\$2.78	\$2.65	\$2.68	\$3.62	\$3.38	\$3.31
y/y	66%	54%	55%		65%	50%	53%	67%	59%	60%	32%	29%	24%
q/q	14%	5%	6%		4%	3%	4%						

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Corning Inc (GLW)

We expect continued momentum at Corning heading into the third quarter, led primarily by Optical Communications as AI-related workloads continue to require greater fiber density and rack-to-rack connectivity across both enterprise and carrier architectures. Expanded relationships with carriers (recently announced multi-year Verizon agreement covering more than 80 million fiber miles from 2027 through 2032, as well as multi year agreement with AT&T) reinforce our view that connectivity content per accelerator should continue to scale, with Corning now positioned to reach its prior \$1B annual data center interconnect target sooner than originally planned. Management now expects to reach its \$20B annualized sales run-rate in the third quarter, a quarter earlier than previously guided, with high-teens y/y growth continuing through the fourth quarter and into 2027.

Within Glass Innovations, fab utilization continues to trend modestly higher than prior expectations, supported by steady panel-maker demand and Corning's ongoing content gains within its Apple partnership, while Automotive demand remains comparatively muted, with only a modest recovery visible in North American heavy-duty markets. Solar continues to scale gradually as polysilicon optimization and new wafer capacity ramp further in the back half of the year and should begin to become more accretive as the EPS drag continues to smooth out. We tweak our estimates to reflect this incremental momentum and maintain our price target of \$220; we maintain our Buy rating. Corning is expected to report results on Oct 27 at 8:30 am ET.

Figure 27. Citi Ests vs Street

(in \$ millions, except for % and EPS)	3QFY26			Guidance	4QFY26			FY26	FY26	FY26	FY27	FY27	FY27
	Citi Estimates	Prior Citi Estimates	Street (Factset)		Citi Estimates	Prior Citi Estimates	Street (Factset)	Citi Estimates	Prior Citi	Street (Factset)	Citi Estimates	Prior Citi	Street (Factset)
Glass Innovations	1,495	1,513			1,466	1,460		5,844	5,855		5,863	6,023	
Optical Communications	2,280	2,155			2,310	2,160	2,251	8,508	8,233		11,596	10,304	
Automotive & Other	468	468			434	434		1,810	1,810		1,862	1,862	
Life Sciences & Emerging	278	278			283	283		1,127	1,127		1,138	1,138	
Solar	558	558			713	713	615	2,079	2,079		2,534	2,534	
Total Revenue - Core	5,079	4,972	5,007	high end, or slightly better than guide of \$4.9-\$5.0 bln	5,206	5,049	5,164	19,368	19,104	19,264	22,993	21,861	22,926
								\$6.5 billion in incremental annualized sales by the end of 2026, up from previous \$6 billion plan					
Gross Margin	40.2%	40.1%			39.9%	40.1%		39.7%	39.7%		40.9%	41.9%	
Opex	908	891			887	863		3,504	3,463		3,985	3,795	
Operating Income	1,135	1,102			1,191	1,160		4,191	4,126		5,425	5,358	
Operating Margin	22.4%	22.2%			22.9%	23.0%		21.6%	21.6%		23.6%	24.5%	
Adj. EBITDA	1,445	1,412			1,515	1,484		5,527	5,462		6,761	6,694	
Core Gross Equity Earnings													
Tax rate								18.5%	18.5%		18.5%	18.5%	
Net Income - Core	785	757			818	803		2,895	2,853	2,799	3,860	3,809	
Net Income Margin	15.5%	15.2%			15.7%	15.9%		14.9%	14.9%	14.5%	16.8%	17.4%	
EPS - PF Diluted	\$0.90	\$0.87	\$0.88		\$0.93	\$0.92	\$0.93	\$3.31	\$3.26	3.29	\$4.39	\$4.34	4.35
y/y	33%	28%			30%	28%		31%	29%		33%	33%	

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

TE Connectivity Ltd. (TEL)

We expect a balanced, broad-based performance at TE Connectivity into the fiscal fourth quarter, with demand tracking above the company's long-term through-cycle framework, supported by record orders and continued strength across DDN, Energy, Aerospace & Defense, Automation & Connected Living, and Transportation. DDN orders remain a key incremental driver, up approximately 70% and largely supporting FY27 programs already won with hyperscale customers, primarily within copper connectivity, with TE achieving its previously stated AI targets earlier than expected and supply not currently limiting growth. Management continues to frame AI architecture as requiring both copper and optics rather than a winner-take-all shift—copper should remain critical across power, CPU-intensive agentic AI, and customized scale-up architectures, while RAM Photonics' Fiber Attach Unit capability positions TE to participate more meaningfully in co-packaged and near-package optics over time, though that opportunity is more relevant to FY28/FY29 given the scaling and qualification work still required. Approximately one-third of TE's AI connectivity content is associated with power, with higher rack densities, sidecar architectures, and a potential shift toward 400V/800V systems supporting further content growth.

Outside of DDN, Energy continues to shift toward a durable double-digit growth business (roughly 30% tied to data-center power delivery), Aerospace & Defense continues to grow at a strong rate on elevated U.S. and European defense spending, and Automation & Connected Living is benefiting from both a cyclical recovery and a secular increase in connected devices, aided by the Astrodyne acquisition. Transportation remains a comparative soft spot, with global auto production slightly down, though TE continues to outgrow production by 4–6 points through higher content in software-defined vehicles and electrification, particularly in Asia. We tweak our estimates to reflect this incremental momentum and maintain our price target of \$230; we maintain our Buy rating. TEL to report earnings on Oct 28th.

Figure 28. Citi Ests vs Street

	4QFY26E			1QFY27E			FY27E			FY28E		
	Citi	Citi Prior	Consensus (Factset)	Citi	Citi Prior	Consensus (Factset)	Citi	Citi Prior	Consensus (Factset)	Citi	Citi Prior	Consensus (Factset)
Sales	\$5,291	\$5,259	\$5,272	\$5,204	\$5,196	\$5,127	\$21,645	\$21,458	21,746	\$23,392	\$22,737	\$23,225
Sales y/y	11.4%	10.7%		9.7%	9.5%		9.0%	8.2%	9.6%	8.1%	6.0%	
Sales Q/Q	2.5%	1.9%		-1.6%	-1.2%							
Gross Profit	\$1,881	\$1,870		\$1,877	\$1,861		\$7,930	\$7,816		\$8,709	\$8,417	
Gross Margin	35.6%	35.6%		36.1%	35.8%		36.6%	36.4%		37.2%	37.0%	
Opex (ex stock comp)	\$719	\$714		\$718	\$713		\$2,981	\$2,993		\$3,222	\$3,171	
y/y	-6.2%	-6.8%		#DIV/0!	-9.4%		5%	5.4%		8%	6.0%	
q/q	1.8%	1.2%		0.0%	-0.2%							
Operating Income (ex Restructuring)	\$1,163	\$1,156		\$1,158	\$1,148		\$4,949	\$4,823		\$5,487	\$5,246	
Operating Income Margin (ex Restructuring)	22.0%	22.0%		22.3%	22.1%		22.9%	22.5%		23.5%	23.1%	
Tax Rate	23%	23%		23%	23%		23%	23%		23%	23%	
Net Income	\$893	\$888		\$887	\$876		\$3,768	\$3,676		\$4,133	\$4,029	
Net Income Margin	17.0%	17.0%		17.7%	17.8%		17.4%	17.1%		17.7%	17.7%	
EPS ex amortization	\$3.06	\$3.05	\$3.07	\$3.05	\$3.01	\$3.01	\$12.98	\$12.66	\$13.00	\$14.34	\$13.98	\$14.40
y/y	18.1%	17.4%		11.8%	10.4%	16.0%	13.4%	10.8%		10.4%	10.4%	
q/q	4.3%	3.6%		-0.6%	-1.2%							

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Bel Fuse (BELFB)

We expect BELF to deliver another quarter of solid growth and execution, reinforcing our Buy rating. Demand trends discussed at the recent Citi conference remain supportive, with bookings exceeding sales for six consecutive quarters, broad-based strength across Defense, Data Solutions, space, and distribution, and management continuing to characterize end-market demand as durable. Defense should remain the primary growth engine, supported by expanding European and Israeli program activity and BEL's broad exposure across more than 1,000 platforms, while Data Solutions is positioned to benefit from the ongoing ramp of its high-performance computing program and emerging AI-related opportunities, despite some normal quarterly order variability. Distribution trends have also improved meaningfully following the multi-year destocking cycle, providing an additional growth vector beyond defense and AI. From a profitability standpoint, management indicated Q3 gross margins should remain broadly consistent with Q2 levels, supported by pricing actions, operating leverage, and a more favorable business mix. Combined with a book-to-bill ratio above 1.0 and management's Q3 revenue guidance of \$205-\$225 million, we believe BELF remains well positioned to sustain double-digit revenue growth and strong incremental margins while retaining significant optionality from future AI programs and M&A deployment.

Figure 29. Citi Ests vs Street

	3QFY26E		4QFY26E		FY26E		FY27E	
	Citi	Consensus (Factset)	Citi	Consensus (Factset)	Citi	Consensus (Factset)	Citi	Consensus (Factset)
Total Sales	\$220	\$216	\$216	\$206	\$825	811	\$916	880
Sales y/y	23.0%		22.6%		22.1%		11.0%	
Sales Q/Q	4.5%		-2.0%					
Gross Profit	\$89	\$85	\$87	\$80	\$329	\$319	\$369	\$346
y/y	24.5%		25.1%		24.4%		12.1%	
q/q	5.4%		-2.0%					
GM	40.2%	39.4%	40.2%	39.1%	39.9%	39.4%	40.3%	39.3%
y/y	0.5%		0.8%		0.7%		0.4%	
q/q	0.9%		0.0%					
Operating Income	\$49		\$47		\$166		\$208	174
Operating Income Margin	22.4%		21.6%		20.1%		22.7%	
Tax Rate	20%		21%		18%		20%	
Net Income	\$43		\$41		\$146		\$184	\$136
Net Income Margin	19.5%		17.7%		17.7%		20.1%	
Adjusted EPS - Diluted	\$2.84	\$2.73	\$2.73	\$2.50	\$10.39	\$9.86	\$12.15	\$11.21
y/y	35.7%		38.6%		46.6%		16.9%	
q/q	-1.8%		-4.0%					

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Seagate Technology Holdings Plc (STX), Western Digital Corp (WDC), Sandisk Corp (SNDK):

HDD & NAND makers continue to benefit from pricing power given an undersupplied market, driven by AI-related storage demand and disciplined industry supply growth, while customer demand conversations continue to be constructive, with lengthening visibility ranges.

Demand: Storage demand remains exceptionally strong across both HDD and NAND markets, with no signs of an AI infrastructure digestion period. At our recent Technology Conference, [WDC](#) noted EB demand growth is running above 25% CAGR, potentially well above that level, and that WDC is currently supply-constrained rather than demand-constrained. Mgmt further noted that customer demand signals continue to strengthen with increasing visibility and LTAs extending toward 2030–2031. Similarly, [STX](#) noted the supply-demand gap appears to be widening, with customer LTAs and purchase orders continuing to grow and no evidence of storage demand digestion over the next several years. STX believes AI, inference, video AI, robotics, autonomous driving, and other data-intensive applications will continue driving at least 25% annual exabyte growth.

Specifically on NAND, [SNDK](#) highlighted that AI-driven datacenter demand continues to accelerate, with hyperscaler spending rising and datacenter increasingly becoming the dominant driver of NAND consumption. SNDK continues to forecast sustainable mid-to-high teens bit demand growth while noting that AI, KV cache, and inference workloads could drive even larger opportunities over time.

Pricing: HDD Pricing remains favorable, where WDC highlighted recent HDD \$/TB increases of approx. 18%–19%yy and believes higher-capacity drives support further value-based pricing, and STX noted the supply-demand gap continues to widen and expects pricing to remain constructive given strong demand and industry discipline.

Our [checks with industry experts TrendFocus](#) continue to highlight constructive HDD pricing conditions, where the industry is structurally undersupplied with both Hyperscale and OEM pricing expected to continue rising through at least 2030. Furthermore, TrendFocus expects cloud pricing increases that were once thought to be high-single digits to run into the teens near-term, with a larger pricing inflection in 2028, while OEM contract renewals could see price increases of 20%–40%+ as supply shortages persist. Importantly, TrendFocus does not expect a return to the historical pattern of declining HDD prices; even after the expected 2028 step-up, it still models HDD pricing increasing through 2030, albeit at a more moderate pace.

On NAND, from our [Tech Conference fireside chat with SNDK](#), mgmt noted that AI-driven datacenter demand, long-term NBM agreements, and industry supply discipline are improving demand visibility and reducing historical NAND-cycle volatility, with NBM contracts providing pricing floors while preserving upside participation, with non-NBM business continuing to benefit from spot market pricing. Meanwhile Citi Memory Analyst, [Peter Lee, expects ongoing tight NAND supply leading to continued undersupply](#). Citi expects NAND demand to grow ~29% in 2027E amid constrained industry capacity, supported by rising AI inference demand and incremental eSSDs demand from offloading as lower HBM content shifts more memory workloads to external storage.

Additionally, our [Micron earnings](#) (covered by Atif Malik) read-through highlighted [tight NAND conditions through CY28](#), and reported better-than-expected results and guidance amid robust AI demand. MU expects its own NAND supply to grow less than industry supply growth in CY26. While for CY27/CY28, they expect industry NAND bit shipments to grow mid-20s% range and industry to remain supply constrained during both years. Their outlook reflects: 1) NAND S/D conditions tight in CY27/CY28, 2) CY26 industry NAND B/S to grow in low-20s% range. We note while MU NAND B/S growth is higher than Sandisk's expectations for industry CAGR of mid-teens, we remain constructive given durable demand and visibility via NBMs. Other MU observations include:

- For CY26, expect industry NAND bit shipments to grow in low-20s percentage range, slightly above their prior expectations. Demand continues to be driven by AI-related storage needs:
- KV cache offload
- AI context-memory storage
- Larger models, longer context windows, and greater inference concurrency.
- MU mgmt noted that should more NAND become available, customers would immediately utilize it, likely in AI workloads, according to mgmt.
- On NAND pricing, mgmt expects continued price increases, albeit at a more moderate pace, while the company does not yet have line of sight to when supply and demand balances.

HDD EB Shipments: We believe STX should be in a better situation to supply the market in the near term on its continued ramp of its 2nd generation HAMR Mozaic 4+ platform (44TB platters; Mozaic4+ expected to be majority of HAMR EBs shipped exiting CY26), while WDC EB shipments are expected to be somewhat muted (sub-25% range) as the company is navigating transitions: higher capacities on its ePMR technology, first-gen HAMR adoption, and associated qualification/manufacturing ramps. We note that WDC mgmt emphasizes the constraint as a supply issue rather than a demand issue.

Toshiba Announcement of Increasing Shipments: On Oct 2nd, [TrendForce reported](#) that Toshiba (~10% share of HDD EB) is looking to double their production capacity in FY27 in response to HDD shortages. [We note](#) that unlike STX and WDC, Toshiba does not internally source their own media and heads, and in order to double their current EB capacity they would also need their external component suppliers to also significantly raise capacity – which we believe could limit the impact of total EB supplied to the market. Additionally, Toshiba has historically lagged on their max capacity drives relative to STX and WDC, with 30-34TB samples shipping and 40TB launch in 2027 (per [Trendforce](#), 22nd July 2026). That said, we note that the HDD industry is currently undershipping unconstrained demand by a wide margin, with expectations for undersupply to increase to 300+ TB over the few years, [according to our checks](#). Even if Toshiba were to double their existing capacity successfully, we expect the industry to remain undersupplied.

[Our recent expert checks](#) continue to indicate the HDD market remains structurally undersupplied, with an estimated industry shortfall of approx. 400 EBs over the coming years, with hyperscale demand driving continued tightness and discussions extending into 2029. Toshiba's planned capacity growth was viewed as supportive of industry growth rather than disruptive, while component availability remains an important watchpoint. Meanwhile there is growing interest

in tape storage as cloud providers look to shift colder data off HDDs, potentially supporting tape demand over time. On NAND, consumer and PC-related demand remains weak, while enterprise SSD demand continues to be driven by hyperscaler AI deployments. QLC adoption is progressing more slowly than previously expected, with higher NAND pricing all around, leading some customers to favor TLC solutions. NAND pricing is expected to remain firm, supported by tight supply conditions. Longer term, emerging AI storage technologies such as HBF, CXL-attached storage, and KV-cache architectures were noted as potential future drivers of NAND demand, though broad adoption remains several years away. Overall, the discussion reflected a constructive outlook on AI-driven storage demand across both HDDs and enterprise SSDs.

STX & WDC: Given the constructive pricing environment, we raise SeptQ and FY27 & FY28 ests slightly on better per-GB pricing and subsequently better gross margins. Meanwhile we apply a lower ~20x PE (from ~23x prior) to FY28 ests given multiples have come down slightly as street estimates have increased since June, resulting in unchanged TP of \$1,300 for STX and \$740 for WDC. We reiterate Buy for both. We expect investors to focus on whether AI-driven storage demand will continue to exceed supply and support further HDD pricing gains, with particular attention to EB growth trends, customer demand visibility, and any signs of infrastructure spending digestion. Key questions include whether WDC can successfully accelerate shipments through its multiple product transitions and HAMR ramp to meet ~25% demand growth levels, and whether STX can sustain current pricing, margin, and FCF levels while executing its next-generation HAMR roadmap.

SNDK: Similarly, we raise SeptQ and FY27 & FY28 ests slightly on better memory pricing and subsequently better gross margins. We also apply a lower ~8x PE (from 9x prior) to CY27 ests, resulting in unchanged \$2,100 TP. We reiterate Buy. We expect investors will be looking for confirmation that AI-driven datacenter demand remains robust and that NBM adoption continues to expand, improving demand visibility and supporting pricing stability. Key focus areas include NAND pricing assumptions, the durability of FCF generation at NBM floor pricing, and further evidence that LTAs are reducing historical NAND-cycle volatility. We remain constructive on favorable NAND S/D fundamentals on durable AI-led datacenter demand (KV cache offloading to more cost-effective SSDs), and this latest Micron results read-thru supports Sandisk's thesis of strong business fundamentals and increased visibility. Sandisk to report earnings on Oct 29th.

Figure 30. STX Ests vs Street

(in \$ millions, except for %, ASP, and EPS)	Q1-27E				Q2-27E			2027E			2028E		
	Citi	Citi Prior	Street	Guide	Citi	Citi Prior	Street	Citi	Citi Prior	Street	Citi	Citi Prior	Street
Total HDD Revenue	4,250	3,910			4,597	4,214		19,448	17,829		26,458	23,867	
Mass Capacity	3,613	3,695			3,909	3,978		16,748	16,964		23,671	23,063	
Legacy	357	215			404	236		1,536	866		1,579	804	
Non-HDD Revenue	-	197			-	204		-	833		-	968	
EB	234	234			242	242		990	990		1,203	1,203	
Eb qq	7%	7%			3%	3%		25%	25%		22%	22%	
\$/GB	\$0.018	\$0.017			\$0.019	\$0.017		\$0.020	\$0.018		\$0.022	\$0.020	
\$/GB qq	9%	6%			5%	4%		29%	24%		12%	10%	
Total Revenue	4,250	4,107	4,119	\$4.15B ± \$100M	4,597	4,418	4,472	19,448	18,662	18,731	26,458	24,835	25,381
Change Q/Q	17%	13%			8%	8%		-	-		-	-	
Change Y/Y	62%	56%			63%	56%		59%	53%	0%	36%	33%	36%
Gross Margin	58.6%	57.0%	57.3%		58.2%	57.2%	58.3%	59.9%	58.2%	57.7%	65.6%	62.6%	61.8%
Opex	300	300	304	300	302	302	279	1,216	1,216	974	1,286	1,286	451
Operating Margin	51.5%	49.7%	49.9%	50.0%	51.6%	50.4%	52.0%	53.7%	51.7%	52.5%	60.7%	57.4%	60.0%
Pre tax Income	2,145	1,999	2,002		2,329	2,182	2,283	10,262	9,465	9,641	15,897	14,084	15,084
Tax rate	16%	16%	16%	16%	16%	16%	16%	16%	16%	15%	16%	16%	15%
Net Income	1,812.1	1,688.8	1,698.5		1,967.8	1,843.5	1,934.4	8,671.2	7,997.5	8,189.4	13,432.2	11,900.7	12,819.3
Net Income Margin													
Diluted Shares	231.5	231.5	230.5		228.8	228.9	229.4	226.7	227.0	226.5	207.4	209.6	224.8
EPS - PF Diluted	\$7.83	\$7.30	7.37	\$7.30 ± \$0.20	\$8.60	\$8.06	8.43	\$38.24	\$35.24	36.16	\$64.77	\$56.78	57.02

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Figure 31. WDC Ests vs Street

(in \$ millions, except for % , ASP, and EPS)	Q1-27E Sep-26				Q2-27E Dec-26			FY 2027E			FY 2028E		
	Citi	Prior	Street	Guidance	Citi	Prior	Street	Citi	Prior	Street	Citi	Prior	Street
EB	246	246			263	263		1,075	1,075		1,318	1,318	
EB q/q	6.4%	6.4%			7.0%	7.0%		23.3%	23.3%		22.5%	22.5%	
\$/GB	\$0.017	\$0.017			\$0.018	\$0.017		\$0.018	\$0.018		\$0.021	\$0.020	
\$/GB q/q	4.4%	3.5%			3.5%	3.5%		24.0%	21.3%		13.9%	9.5%	
Total Revenue	4,159	4,125	4,103	\$4.1B +/- \$100M	4,605	4,568	4,435	19,750	19,331	19,162	27,569	25,932	26,549
Change Q/Q	11.0%	10.1%			10.7%	10.7%							
Change Y/Y	47.6%	46.4%			52.6%	51.4%		52.9%	49.6%	49.4%	39.6%	34.1%	38.5%
Total Gross Margin	57.8%	55.5%	55.4%	55-56%	57.8%	56.5%	56.5%	60.1%	58.1%	57.6%	66.2%	62.4%	61.3%
Opex	396	396	368	\$390M - \$400M	394	394	302	1,577	1,577	1,440	1,616	1,616	1,111
% of revs	9.5%	9.6%	9.0%		8.5%	8.6%	6.8%	8%	8%	8%	6%	6%	4%
Operating Income	2,006	1,893	1,906		2,266	2,187	2,204	10,300	9,654		16,632	14,573	
Operating Margin	48.2%	45.9%	46.4%		49.2%	47.9%	49.7%	52.2%	49.9%	50.1%	60.3%	56.2%	57.1%
Pretax Income	1,992	1,880	1,899		2,253	2,174	2,211	10,248	9,602	9,558	16,580	14,521	15,146
Provision for Income Taxes	339	320	324		383	370	367	1,742	1,632	1,599	2,819	2,469	2,487
Tax rate	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	16.6%	17.0%	17.0%	16.7%	17.0%	17.0%	16.4%
Net Income	1,654	1,560	1,576		1,870	1,805	1,828	8,506	7,969	7,963	13,761	12,052	12,606
EPS - PF Diluted	\$4.26	\$4.02	\$ 4.07	\$4.00 +/- \$0.15	\$4.84	\$4.67	\$ 4.74	\$22.09	\$20.69	\$ 20.39	\$37.02	\$32.32	\$ 32.76

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Figure 32. SNDK Ests vs Street

(in \$ millions, except for % , ASP, and EPS)	Q1-27E Sep-26				Q2-27E Dec-26			2027E FY			2028E FY		
	Citi	Prior	Street	Guidance	Citi	Prior	Street	Citi	Prior	Street	Citi	Prior	Street
Bit growth q/q	7.0%	7.0%			7.0%	8.0%		13.1%	15.1%		16.3%	17.8%	
ASP/GB q/q	12.6%	10.0%			5.5%	3.0%		110.9%	100.3%		12.3%	9.1%	
Total Revenue	10,800	10,552	10,633	10.3 - 10.8 bln	12,192	11,738	12,079	48,288	46,679	48,909	63,035	59,981	58,157
Change Q/Q	20.5%	17.7%			12.9%	11.2%							
Change Y/Y	367.9%	357.2%			303.0%	288.0%		138.5%	130.5%		30.5%	28.5%	
GM w/charges	84.8%	84.0%	83.2%	83-85%	84.8%	84.0%	82.8%	84.8%	84.0%	84.0%	84.8%	82.6%	
Opex	528	528	450	520-540 mln	523	528	350	2,118	2,156	1,822	2,369	2,403	
Operating Income	8,625	8,336	8,394		9,809	9,332	9,656	38,806	37,054	39,280	51,053	47,154	
Operating Margin	79.9%	79.0%	78.9%		80.5%	79.5%	79.9%	80.4%	79.4%	80.3%	81.0%	78.6%	79.8%
Pretax Income	8,633	8,344	8,370		9,817	9,340	9,642	38,838	37,086	39,265	51,085	47,186	45,888
Provision for Income Taxes	1,295	1,252	1,247		1,473	1,401	1,514	5,826	5,563	6,024	7,663	7,078	6,943
Tax rate	15.0%	15.0%	14.9%	15.0%	15.0%	15.0%	15.7%	15.0%	15.0%	15.3%	15.0%	15.0%	15.1%
Net Income	7,338	7,092	7,160		8,344	7,939	8,192	33,012	31,523	33,082	43,422	40,108	38,582
EPS - PF Diluted	\$47.34	\$45.76	\$ 46.11	\$44-\$46	\$54.19	\$51.55	\$ 52.43	\$215.06	\$205.36	\$ 212.53	\$290.45	\$268.28	\$ 260.93

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Logitech Int'l (LOGI)

We expect upside to our current expectations. Our checks suggest core demand trends remain stable, despite expectations for PC unit demand to decline, while [gaming trends have turned more constructive](#) and supply-chain risks appear manageable. Pre-quarter checks also suggest management remains constructive on overall demand momentum, with the consistent execution seen in recent quarters sustaining. Importantly, recent pricing actions do not appear to have caused any meaningful demand disruption, while management remains confident in its ability to navigate near-term supplier-related disruptions. With guidance embedding a degree of conservatism around these supply-chain constraints, we believe the company is well positioned to deliver toward the high end of its guidance range. We reiterate our Buy rating, with the stock trading at ~15x EV/EBIT, below its three-year median of ~17x.

Longer term, we note the primary investor debate is no longer margins, but whether the company can accelerate growth beyond current range. To achieve this, the company is increasing investments in gaming, Personal Workspace Solutions, and targeted vertical markets such as healthcare, education, and government, with the goal of accelerating growth by FY28.

On supplier disruption, mgmt indicated the SeptQ impact should be limited to ~\$20M or less of revenue, while DecQ carries a worst-case risk of ~\$200M – though management emphasized that both extremes of zero-impact and full \$200M outcomes are viewed as low-probability scenarios. The company is working to increase production at the affected supplier, qualify alternative sources, and prioritize constrained components toward higher-margin products, suggesting that the ultimate impact is likely to come in below the worst-case assumption.

Gaming remains one of the company's strongest growth drivers, the company is seeing a healthy PC refresh cycle, supported by aging Covid-era hardware, and views the eventual PC launch of GTA 6 as a future catalyst. Regionally, China continues to grow at DD rates and North America remains healthy, while Europe remains sluggish and currently lacks an immediate catalyst for improvement.

All this said, we note we have initially modeled the supplier disruption \$200M impact which, again, likely would not materialize. Additionally, we note that our recent annual [Consumer Electronics Survey](#) suggests demand for gaming peripherals is strengthening in Japan, the UK, and especially the US ahead of GTA6's expected November 2026 launch, which is constructive for LOGI.

On margins, management remains confident in the sustainability of the current profile but does not expect a meaningful step-up from current levels. GMs should remain ~44%, while management pushed back on investor expectations for margins to rise to 46%–47% in the near term. Pricing power remains strong, with recent tariff-related price increases and a 13% price increase in the VC portfolio (during May 2026 to offset higher memory costs) the company is not seeing meaningful demand disruption from recent pricing actions.

AI is viewed primarily as a longer-term opportunity, and describes AI as a tailwind rather than a standalone product cycle, particularly within the company's B2B and video collaboration businesses. The company is increasingly adopting AI assistants, note-taking tools, and meeting applications from providers such as Microsoft, Google, and Zoom, which increases the need for video-enabled meeting rooms and collaboration equipment. Additionally, given fewer than 25% of meeting rooms globally are video-conferencing enabled, this creates a large opportunity for

future deployment and refresh activity. More broadly, management believes AI supports demand for video collaboration, hybrid work solutions, and premium peripherals, supporting higher-value peripherals and premium pricing, but does not view AI as a major direct revenue driver today outside of these use cases.

Logitech is expected to report results on Tuesday Oct 27 at 4 pm ET.

Figure 33. Citi Ests vs Street

	FY27E (ending March)			FY28E (ending March)			2QFY27 (Sept)			3QFY27 (Dec)		
	Current Citi	Guide	Consensus	Current Citi	Consensus		Current Citi	Guide	Consensus	Current Citi	Guide	Consensus
	FY27E		FY27E	FY28E	FY28E		Sep-26 2Q27 E			Dec-26 3Q27E		
Revenues	4,848,608		4,878,203	5,299,536	5,173,153		\$1,202,703	\$1,185 - \$1,220 mp \$1,203, \$20mln supplier	1,210,995	\$1,285,980	up to \$200mln impact from supplier incident	1,313,680
-y/y	0%			9%			1%	0%-3% USD & cc		-10%		
-q/q							-2%			7%		
Gross Margins	45.5%		45.0%	44.2%	44.3%		44.0%	~44%	44.1%	44.0%		45.1%
-y/y							1.8%			-8.6%		
-q/q							-13.4%			6.9%		
OpEx	1,319,506		1,306,199	1,383,261	1,377,890		\$331,706		329,207	\$340,785		351,574
-y/y							14%			11%		
-q/q							4%			3%		
Opex % of revenues	27.2%		26.8%	26.1%	26.6%		27.6%		27.2%	26.5%		26.8%
Operating Income	885,415		889,198	960,458	914,963		\$197,534	\$185-\$210M mp \$197.5	204,643	\$224,857		241,226
Op Income Margin	18%	High end of 15-18% LT range	18%	18%	17.7%		16%		17%	17%		18%
Interest & Other Income	56,600			55,244								
Pre Tax Income	941,458			1,015,702			\$211,042		208,828	\$238,427		262,325
Net Income	825,362			880,293			\$185,017		174,330	\$209,025		207,237
Diluted Shares	144,540			142,710			143,456			144,374		
EPS	5.71		5.58	6.17	6.00		1.29		1.31	1.45		1.53
-y/y	-1%			8%			-11%			-25%		

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

CDW Corp (CDW)

We remain Neutral on CDW despite a constructive demand backdrop, as stronger enterprise infrastructure demand, elevated backlog and emerging AI and services opportunities are balanced by near-term mix pressure and higher working-capital requirements.

Demand remains resilient (supported by recent peer commentary in distribution) and broader than management expected entering the year, with written demand continuing to outpace invoicing, and particular strength across servers, storage and networking, although guidance prudently assumes some moderation in 2H. Management continues to expect CDW to outgrow the mid-single-digit U.S. IT market by 200–300bps, supported by its end-to-end positioning and increasing customer complexity across infrastructure, cloud, security, software and AI.

Importantly, the AI opportunity is beginning to shift from capacity buildouts toward adoption and implementation, where CDW can leverage its services capabilities and recent acquisition (Lovelytics) to productize successful enterprise deployments and extend them into the mid-market. Services should also benefit as recent infrastructure purchases move into implementation, integration, optimization and managed services, providing a longer-term mix and margin tailwind. Near term, however, enterprise-heavy infrastructure demand is pressuring gross margins, while elevated inventory investment is weighing on cash conversion.

Geared for Growth, operating leverage and buybacks provide additional support for double-digit EPS growth (we tweak our estimates up slightly), but with several of the positive demand and execution trends already reflected in expectations, we believe a more meaningful earnings upside or acceleration in higher-margin services and AI contribution is needed to drive a more constructive view on the shares.

We tweak our estimates slightly and maintain our \$150 Target Price.

Figure 34. Citi Ests vs Street

	3Q26E		4Q26E		FY26 E			FY27E	
	Citi	Street Est.	Citi	Street Est.	Citi	Street Est.	Guidance	Citi	Street Est.
yy	14%				13%				
qq	10%				0%				
Total Revenues (\$ M)	\$6,340	\$6,168	\$5,776	\$5,817	\$24,368	\$24,243	Reiterate: Customer spend growth premium of ~200-300bps	\$25,286	\$25,134
Gross Margin	21.4%	21.4%	22.8%	22.5%	21.3%	21.2%		21.6%	21.6%
Opex	\$767		\$786		\$3,055			\$3,149	
Operating Income	\$589		\$529		\$2,125			\$2,308	
Operating Margin	9.3%		9.2%		8.7%			9.1%	
Tax Rate	26.0%		26.0%		25.8%			26.0%	
Net Income	\$394		\$351		\$1,411			\$1,550	
Net Income Margin	6%		6%		6%			6%	
EPS	\$3.11	\$2.96	\$2.78	\$2.77	\$11.06	\$10.96		\$12.42	\$12.01
-Y/Y	15%	4%	8%	4%	10%	9%	High end of HSD	12%	
-Q/Q	7%	3%	-11%	3%					

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Super Micro Computer, Inc. (SMCI)

Demand remains exceptionally strong, with more than \$60B of F4Q orders and a sizable backlog providing strong visibility into FY27, although customer infrastructure readiness and deployment timing could continue to drive quarterly lumpiness.

SMCI is increasingly evolving from a server vendor toward an end-to-end AI infrastructure provider, productizing complete AI factories and leveraging its building-block architecture across multiple compute platforms, and positioning the company to participate in a significant long-term AI infrastructure opportunity. Customer diversification is also improving, with enterprise and channel reaching roughly 50% of F4Q revenue and nine customers exceeding \$1B of FY26 revenue, which should support margins, credit quality, and cash conversion over time.

Longer term, management is targeting double-digit gross margins through greater exposure to application-optimized systems, DCBBS, enterprise and services, while continuing to invest in engineering, software, manufacturing and liquid cooling. However, we remain Neutral on the shares given the significant working-capital intensity of growth, still-low margin profile, and execution risk associated with converting the substantial backlog into revenue and cash flow.

Inventory ended FY26 at \$12.9B and operating cash flow was negative \$6.8B, while the \$5.6B capital raise highlights the funding requirements associated with the current growth trajectory. While improving order terms, customer diversification and a richer solutions mix could materially improve cash conversion and margins over time, we believe greater evidence of sustainable margin expansion and stronger FCF conversion is needed to become more constructive on the stock, particularly as upside to the current \$65–72B FY27 revenue outlook could require additional capital.

Our Target Price moves higher to \$45 from \$39 given improving peer group comps.

Figure 35. Citi Ests vs Street

(\$ Million) SMCI Estimates	FY1Q27E		FY2Q27E		FY 2027E			FY 2028E	
	Citi	Consensus (Factset)	Citi	Consensus (Factset)	Citi	Consensus (Factset)	Guide	Citi	Consensus (Factset)
Revenue	\$14,945	\$14,942	\$16,431	\$16,427	\$68,357	\$67,130	\$65-\$72B, \$68bln MP	\$80,440	\$79,015
Gross Profit	\$1,584		\$1,742		\$7,242			\$8,603	
Gross Margin (Non-GAAP)	10.6%		10.6%		10.6%			10.7%	
Opex	\$329		\$382		\$1,571			\$1,868	
Operating Profit	\$1,255		\$1,360		\$5,672			\$6,734	
Operating Margin	8.4%		8.3%		8.3%			8.4%	
Tax Rate	20.5%		20.5%		20.5%			20.0%	
Net Income	806		889		3,740			4,618	
Net Income margin	5.4%		5.4%		5.5%			5.7%	
EPS	\$1.06	\$1.04	\$1.16	\$1.04	\$4.88	\$4.34		\$6.01	\$5.35

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Xerox Holdings (XRX)

We downgrade Xerox to sell despite [encouraging progress](#) on Lexmark integration and cost synergies, as the path to sustainable revenue growth and stronger core FCF remains execution-dependent in a structurally challenged print market. Management expects revenue stabilization to come primarily from A3/A4 market-share gains rather than a recovery in overall print demand, supported by an improving competitive pipeline and the benefits of owning the technology, manufacturing and service stack following Lexmark acquisition. Integration remains central to the margin story, with Xerox raising its synergy target to over \$350M as it consolidates sales, transitions toward internally manufactured products (9-Series) and lowers manufacturing and service costs. IT Solutions & Digital Services provides a potential offset to print declines, with the roughly \$1B business targeted to grow 10–15% annually through improving sales productivity and cross-selling into Xerox's approximately 200,000 customers. However, we remain cautious given that the investment case still requires meaningful share gains, synergy realization, and execution in IT Services to offset secular print pressures, while elevated leverage limits capital-allocation flexibility.

Moreover, a key risk is that core FCF weakens as finance receivable monetization rolls off, exposing and pressuring the underlying cash-generation profile of the business. While management expects this headwind to be offset by Lexmark synergies, margin expansion, lower interest expense, reduced pension contributions, and lower capex, the timing and magnitude of these benefits remain uncertain. If synergy realization, deleveraging, or operating improvements are delayed, the growth in operating cash flow may not fully offset the reduction in receivable-sale proceeds, resulting in lower normalized FCF than investors currently anticipate and impacting net EV/FCF valuation levels, where Xerox screens unattractive (FactSet ~17.0x) relative to other HW companies like HPQ at ~10.6x (with higher-quality cash flow, less dependence on asset monetization, a stronger balance sheet, and more stable end markets). Hence we downgrade shares until we see better conviction of improved normalized/core FCF generation. Until Xerox demonstrates sustained organic revenue stabilization alongside margin expansion, stronger normalized FCF and meaningful deleveraging, we see an unfavorable risk/reward, supporting our Sell rating.

Valuation: Xerox competes with similar offerings from mature global imaging hardware companies such as Seiko Epson, Canon, Brother, Konica Minolta, Ricoh, and HP Inc. We value XRX shares at \$2.50 based on a ~0.49x EV/Sales multiple (from \$3.45 and ~0.56x prior), toward the low end of peer valuations given the company's extensive restructuring efforts, reliance on Lexmark integration, and exposure to a mature and structurally challenged print market. We also believe a valuation discount is warranted given uncertainty surrounding the durability of free cash flow, where the company has benefited meaningfully from finance receivable monetization, including approximately \$335M of expected FY26 forward-flow proceeds, which management has acknowledged will decline over time. As this tailwind fades, investors have limited visibility into whether current efforts in operating improvements, synergy realization, IT Services growth, and deleveraging can successfully offset the reduction in cash generation. Until Xerox demonstrates a sustainable post-monetization FCF profile, we believe normalized valuation metrics are less compelling than headline multiples suggest.

Figure 36. Citi Ests vs Street

FY	2026			2027	
	Citi Est	Consensus	Guidance/ Target Model	Citi Est	Consensus
Revenue (\$M)	\$7,599	\$7,606	Raised: >\$7.6B	\$7,461	\$7,484
Y/Y growth	8.2%	8.3%		(1.8%)	(1.6%)
Gross Margin	31.8%	30.4%		31.0%	#N/A
Cash Opex	1,861	1,870		1,754	#N/A
Operating Income	559	443	Raised: \$555-\$605M, incl \$105M from 2Q tariff-refund	559	533
Y/Y growth	125.5%	78.6%		(0.0%)	20.4%
Operating Margin	7.4%	5.8%		7.5%	7.1%
EBITDA	\$794	\$630		\$771	\$716
Y/Y growth	55.1%	28.3%		50.6%	13.5%
EBITDA Margin	7.3%	8.9%		7.5%	10.5%
Tax Rate	75.3%	96.6%		35.0%	28.9%
Net Income	\$45.3	-\$30.4		\$43.6	\$111.6
Y/Y growth	(73.0%)	(51.0%)		(70.3%)	(467.5%)
Net Income Margin	0.6%	(0.4%)		0.6%	1.5%
Sharecount	133	129		135	129
Non GAAP EPS	\$0.24	-\$0.23		\$0.23	\$0.86

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Companies Mentioned:

Apple, Inc. (AAPL.O; US\$336.67; 1; 07 Oct 26; 16:00) | Dell Technologies (DELL.N; US\$578.96; 1; 07 Oct 26; 16:00) | Everpure, Inc (P.N; US\$152.66; 1; 07 Oct 26; 16:00) | Hewlett Packard Enterprise (HPE.N; US\$72.09; 1; 07 Oct 26; 16:00) | HP Inc (HPQ.N; US\$32.24; 2; 07 Oct 26; 16:00) | Micron Technology Inc (MU.O; US\$1088.0; 1; 07 Oct 26; 16:00) | NetApp Inc. (NTAP.N; US\$235.88; 2; 07 Oct 26; 16:00)

Catalyst Watch on Amphenol Corp (APH.N)

Direction:	Upside
Duration:	Within 90 Days (expires 12 Dec 2026)
Date Added:	13 Sep 2026
Catalyst:	Macro fundamentals

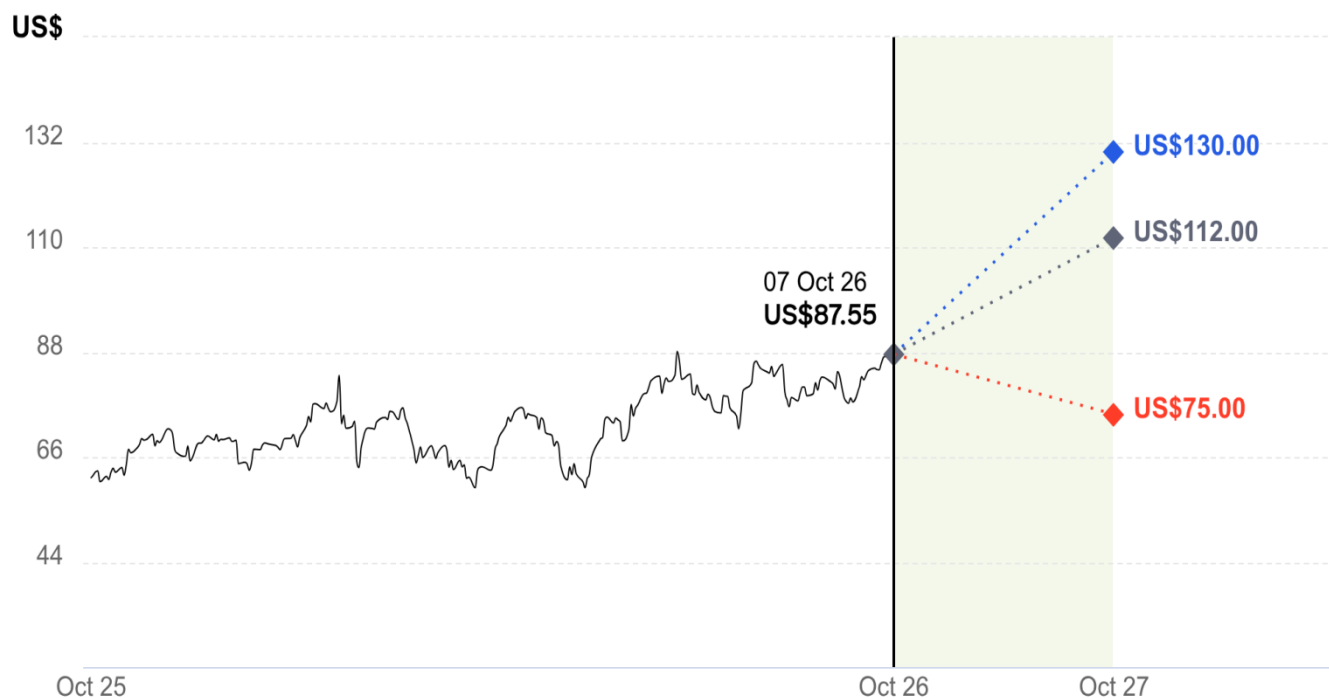
We have an Upside 90-Day Catalyst Watch on APH shares. APH should continue to benefit from strong AI and data-center investment, expanding addressable interconnect content in copper and optical and its ability to capture a share of that growth through product breadth, technology leadership, and execution. Defense spending remains a secular driver with significant growth potential. Continued share gains across its diversified end markets, combined with strong operating leverage, should support further margin expansion.

Bull/Bear: Amphenol Corp (APH.N)

US\$ **130.00**
▲ 48% Upside

US\$ **112.00**
▲ 28% Upside

US\$ **75.00**
▼ 14% Downside



Spread 63pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026



BULL Assumptions

- Organic revenue growth across segments with margin expansion from M&A integration.



BASE Assumptions

- Sales and margins at current levels.



BEAR Assumptions

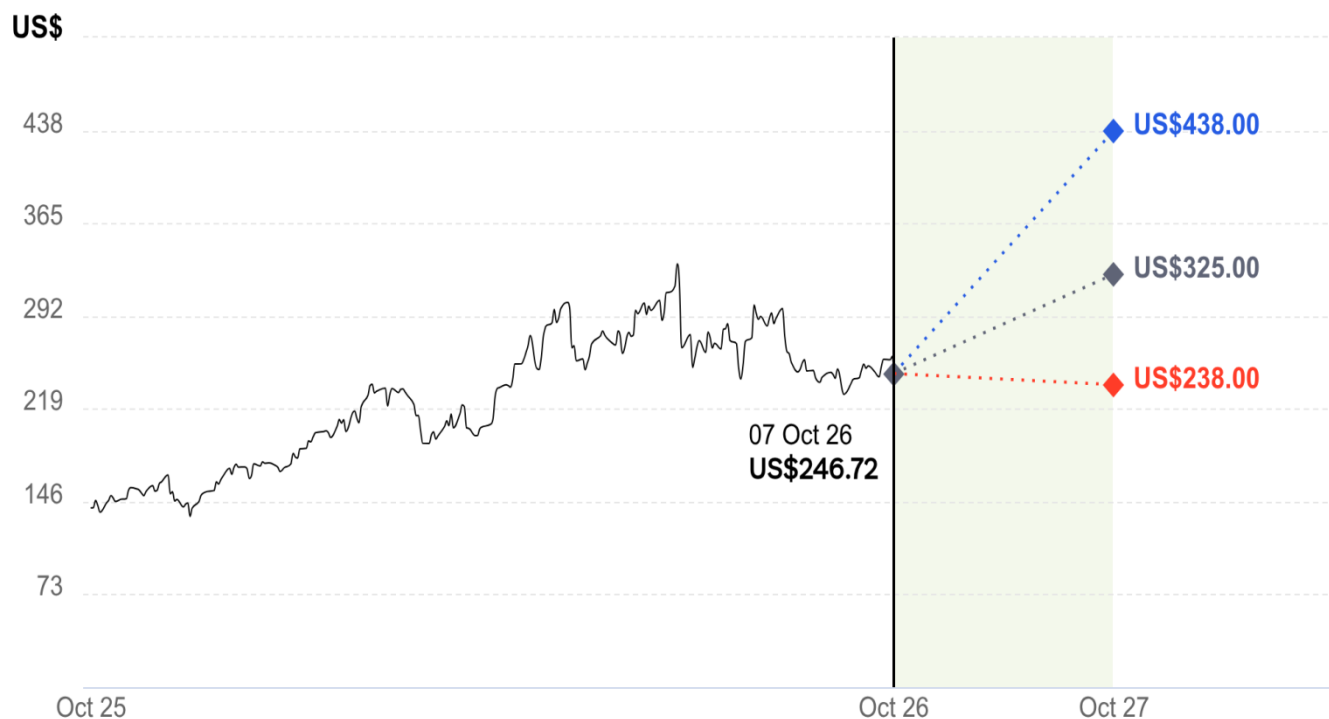
- Revenue declines and margins headwinds from slower-than-expected M&A integration.
- Valuation contraction.

Bull/Bear: Bel Fuse Inc (BELFB.O)

US\$ **438.00**
▲78% Upside

US\$ **325.00**
▲32% Upside

US\$ **238.00**
▼3.5% Downside



Spread 81pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026



BULL Assumptions

- Bull Case assumes higher revenue growth, GM and OM.



BASE Assumptions

- Base Case as presented in current financial model.



BEAR Assumptions

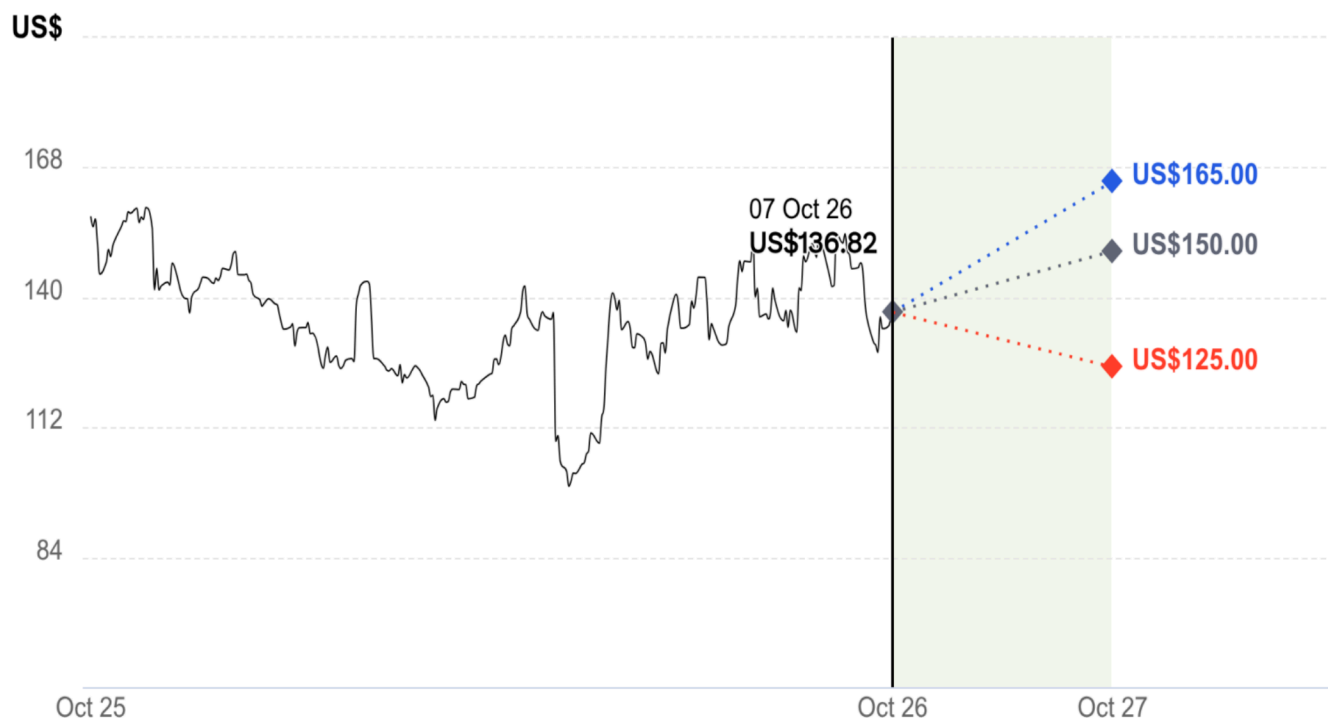
- Bear Case assumes lower revenue growth, GM and OM.

Bull/Bear: CDW Corp (CDW.O)

US\$ **165.00**
▲ 21% Upside

US\$ **150.00**
▲ 9.6% Upside

US\$ **125.00**
▼ 8.6% Downside



Spread 29pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026



BULL Assumptions

- Higher revenue growth while able to benefit from continued margins mix shift



BASE Assumptions

- Base case is reflected in the model.



BEAR Assumptions

- Lower revenue growth and lower margins.

Bull/Bear: Corning Incorporated (GLW.N)

US\$ **255.00**
▲ 56% Upside

US\$ **220.00**
▲ 35% Upside

US\$ **110.00**
▼ 33% Downside



Spread 89pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026

BULL Assumptions

- Better-than-expected demand across the segments, with optical outperforming assumptions and solar trends improving
- Execution, mix, and cost discipline driving NI margin upside well above 20%
- 33x P/E

BASE Assumptions

- Our GLW company model reflects our base case assumptions

BEAR Assumptions

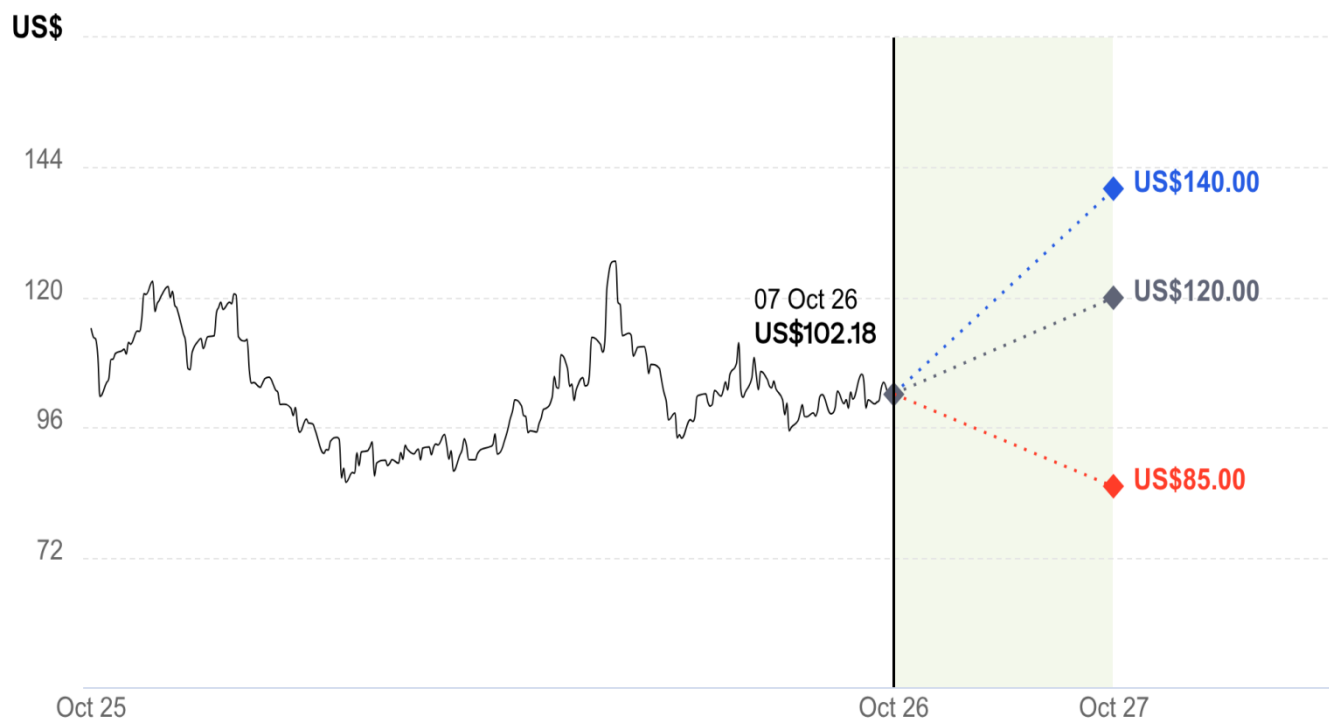
- Underwhelming end-market demand with weaker optical if AI ramps moderate or weaker solar trends, becoming more of a drag on the company
- Operational/timing-related pressures along with fewer customer deployments or less favorable mix
- 20x P/E

Bull/Bear: Logitech International (LOGI.O)

US\$ **140.00**
▲ 37% Upside

US\$ **120.00**
▲ 17% Upside

US\$ **85.00**
▼ 17% Downside



Spread 54pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026



BULL Assumptions

- Revenue higher than the current model with higher margins.



BASE Assumptions

- Base Case assumptions are reflected in the current model.



BEAR Assumptions

- Revenue CAGR is lower than current model with lower margins, resulting in multiple compression.

Bull/Bear: Sandisk Corp (SNDK.O)

US\$ **2,700.00**
▲ 60% Upside

US\$ **2,100.00**
▲ 24% Upside

US\$ **1,200.00**
▼ 29% Downside



Spread 89pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026



BULL Assumptions

- Bull case assumes higher EB growth and improved EB pricing environment.



BASE Assumptions

- Base case as presented in current financial model.



BEAR Assumptions

- Bear case assumes lower EB growth and degraded EB pricing environment.

Bull/Bear: Seagate Technology Holdings PLC (STX.N)

US\$ **1,800.00**
▲123% Upside

US\$ **1,300.00**
▲61% Upside

US\$ **670.00**
▼17% Downside



Spread 140pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026

BULL Assumptions

- Higher revenues due to higher EB sold and more moderate pricing declines
- Higher margins as HAMR drives increased cost reductions

BASE Assumptions

- Base case is reflected in the model

BEAR Assumptions

- Lower revenues due to lower EB sales and more severe pricing declines
- Lower margins as HAMR faces delayed/lower ramps

Bull/Bear: Super Micro Computer, Inc. (SMCI.O)

US\$ 60.00



▲ 34% Upside

US\$ 45.00



▲ 0.1% Upside

US\$ 30.00



▼ 33% Downside

US\$



Spread 67pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026



BULL Assumptions

- Bull case incorporates higher revenues and margins.



BASE Assumptions

- Our Base case assumptions are as presented in the current financial model.



BEAR Assumptions

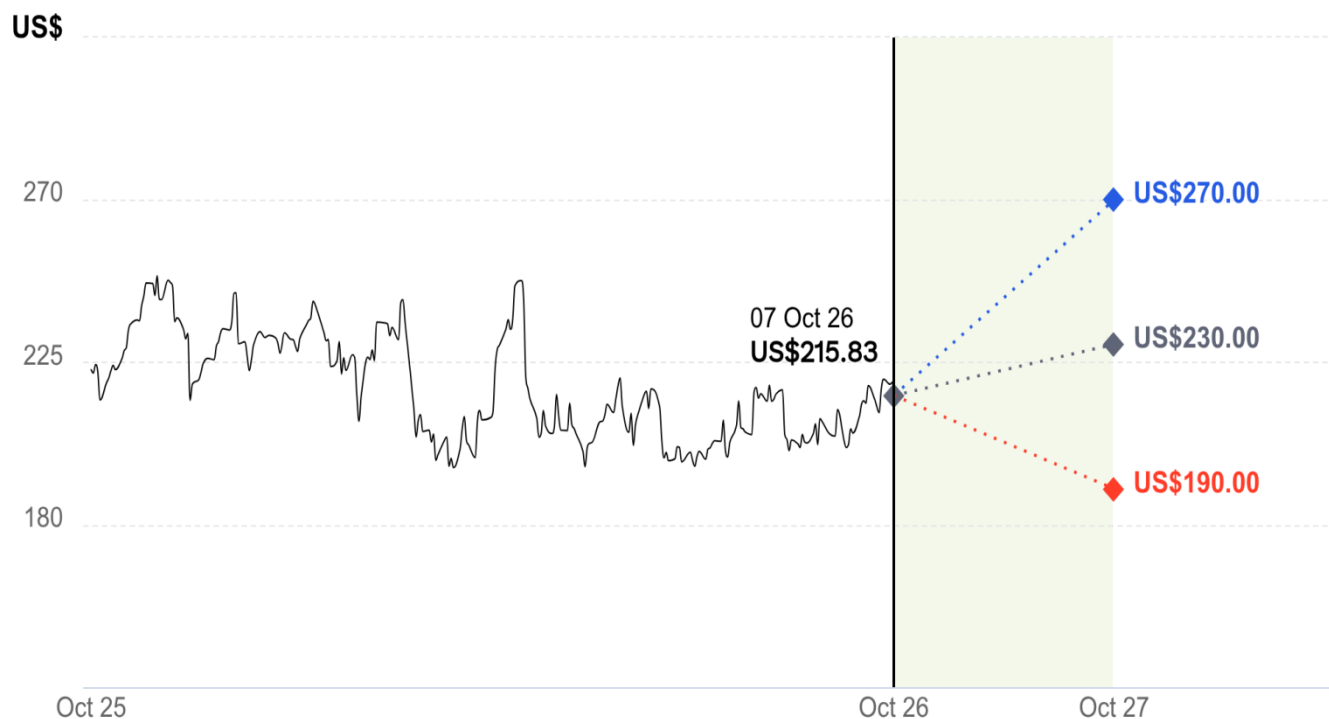
- Bear case incorporates lower revenues and margins.

Bull/Bear: TE Connectivity Ltd. (TEL.N)

US\$ **270.00**
▲25% Upside

US\$ **230.00**
▲6.6% Upside

US\$ **190.00**
▼12% Downside



Spread 37pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026



BULL Assumptions

- Better-than-expected growth in transportation segment.



BASE Assumptions

- Sales and margins are at current estimated levels.



BEAR Assumptions

- Weaker transportation trends, including auto, and slower rebound in industrial.

Bull/Bear: Western Digital (WDC.N)

US\$ **1,000.00**
▲147% Upside

US\$ **740.00**
▲83% Upside

US\$ **290.00**
▼28% Downside



Spread 175pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026

BULL Assumptions

- Higher-than-expected EB sold with more moderate price declines
- Higher margins

BASE Assumptions

- Base case is reflected in the model

BEAR Assumptions

- Lower-than-expected EB sold with more severe price declines
- Lower margins

Bull/Bear: Xerox Holdings Corp. (XRX.O)

US\$ **3.40**



▲13% Upside

US\$ **2.50**



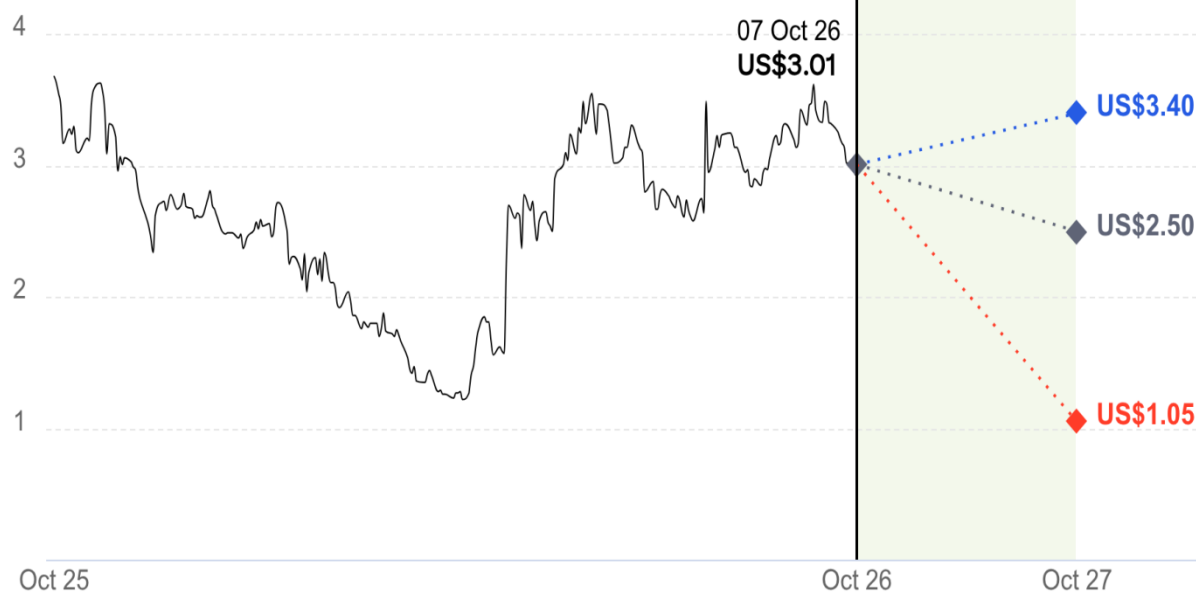
▼17% Downside

US\$ **1.05**



▼65% Downside

US\$



Spread 78pp
Current Price and expected returns (upside/downside) as of 07 Oct 2026



BULL Assumptions

- Our Bull case assumes higher opmargin benefits from restructuring and a higher multiple.



BASE Assumptions

Our Base case is as presented in our financial model



BEAR Assumptions

- Our Bear case assumes no EBITDA improvement and a lower multiple.

Amphenol Corp

Company description

Amphenol is a leading manufacturer of electronic and electrical interconnect products and assemblies, as well as fiber optics. Amphenol is the a leading global connector manufacturer company and it operates globally. Sales by end market include IT Data Communications ~35%, Industrial ~20%, Automotive ~15%, Commercial Aerospace/Military ~15%, Mobile Devices ~5%, Broadband Communications & Mobile Networks ~10%. The company is based in Wallingford, Connecticut and has been listed on NYSE since 1991.

Investment strategy

We rate Amphenol shares Buy. Amphenol is a leading provider of interconnect, antenna and sensor components, and a beneficiary of the increased electrification trend across a diverse range of industrial, military, aerospace, automotive, and technology end markets. Amphenol's diversified end market exposure, global manufacturing footprint, strong execution, decentralized management structure, and expansion through acquisitions have enabled historical outperformance compared with its peers in the fragmented connector market. We believe Amphenol is poised to continue above market sales and earnings as spending on technology hardware (its largest end market) broadens, further enhanced by spending on AI infrastructure, which requires significantly more high-speed connector content. Amphenol also boasts a strong balance sheet and has consistently paid and grown its dividends.

Valuation

Our \$112 target price is based on 28x PE applied to FY28E EPS, in line with their 5-year PE multiple of 29x, which we believe reflects its growth characteristics, cyclical recovery in the broader tech supply chain, and the company's AI upside potential.

Our peer group comprises connectors and semis companies. The peer group trades at a median PE NTM multiple of ~24-25x, with a range varying from 14-50x. Amphenol shares have consistently traded higher than the peer group on higher margin structure, defensible business model able to withstand a tough macro, strong execution, as well as continued potential for acquisitions to impact growth. We also note that historically APH has traded at 1.21x PE relative to the SOX, although in upcycles this premium has expanded to 1.6x to 1.7x.

Risks

Risks to the stock achieving our target price include: 1) a general economic slowdown (globally or in key markets) more severe than current expectations; 2) a slowdown in tech spending beyond current expectations; 3) an increase in raw material prices that could pressure the company's ability to meet and exceed earnings estimates; 4) the company has actively made acquisitions - given the highly fragmented connector industry and synergies from larger-scale operations, we expect this trend will likely continue and believe our estimates and positive outlook would be at risk if it does not; 5) an increase in raw material prices that could pressure the company's ability to meet and

exceed earnings estimates; and 6) exchange rate fluctuations given the firm's global footprint, which could negatively impact sales, operating margins, and equity.

If the impact on the company from any of these factors proves to be greater than we anticipate, the stock will likely have difficulty achieving our target price.

CDW Corp

Company description

Headquartered in Vernon Hills, Illinois, CDW is the largest value-added reseller in North America. The company provides value-added IT solutions to 250,000 customers in corporate, small businesses, and public sectors (incl. healthcare, education, state and federal government). Originally incorporated in 1984, the company started with selling computers and printers (CDW stands for "Computer Discount Warehouse") and continues to evolve its product offerings which now include hardware, software (including cloud applications) and services. The company derives ~90% of revenue in the U.S. and ~10% of revenue in Canada and UK. CDW purchases products both directly from vendor partners and from wholesale distributors.

CDW had its first IPO in 1993 and was acquired by Madison Dearborn Partners in 2007. The company went public again in 2013.

Investment strategy

We have a Neutral rating on CDW to align with more muted expectations given a more deliberate IT spending backdrop. We believe CDW's leading market share in the fragmented value-added reseller (VAR) space, strong sales culture, and expansion in solutions and services could continue to drive the company's outperformance vs. IT spending growth. However, continued focus on opex investments towards solutions/services is likely to temper operating leverage, thereby limiting EPS upside potential in the near- to mid-term range.

Valuation

Our target price is based on a peer comp analysis, adjusted for individual company premiums or discounts. CDW historically trades at a premium to peer group. Our peer group is comprised of distributors, VARs, and IT services companies, and trades at a median PE NTM multiple of 11x-13x. We note the higher multiples across the peer group are generally associated with higher sales growth and sustainable margins. Applying a target PE of 11x to our F24M EPS estimates, we get to a \$150 target price (rounded). We note the 11x target multiple is lower than CDW's 17x-18x median trading multiple, which we believe reflects a lower growth estimate CAGR vs prior years.

Risks

1. Management changes that derail sales culture - CDW's sales team is a key competitive advantage, in our view, which often acts as an extension of its customers' IT staff and an extension of its partners' sales/marketing teams. Any reduction in the sales force could negatively impact vendor and

customer relations.

2. Unfavorable IT spending environment – Macro-economic conditions could negatively affect IT spend, which could result in postponed or decreased spending on IT hardware. Softness was seen in hardware and devices and could continue, which could negatively impact CDW's corporate and SMB growth, as the macro-induced sales downturn may persist in the quarters ahead.

3. SMB demand recovery slower than expected – The biggest growth opportunity is in the SMB market, which is currently seeing suppressed growth related to macro-economic challenges, such as high inflation and increases in interest rates, tighter credit lending, and other macro conditions that may be impacting SMB capital outlay to a greater extent and could influence key categories in the VARS space. If demand remains stunted, this could have a significant impact on CDW's long-term organic growth.

4. Hardware price erosion – CDW's current product mix is heavily reliant on hardware sales; any reductions in price power could result in pressured margins and negatively impact the business and margin compression.

If the impact on the company from any of these factors proves to be greater or less than we anticipate, the stock could either outperform or underperform our target price.

Corning Incorporated

Company description

Corning, Inc. develops and manufactures specialty glass, ceramics and optical physics. The company provides glass for notebook computers, flat panel desktop monitors, LCD televisions, and other information display applications; optical fiber and cable and hardware and equipment products for the telecommunications industry; ceramic substrates for gasoline and diesel engines in automotive and heavy duty vehicle markets; laboratory products for the scientific community and specialized polymer products for biotechnology applications; advanced optical materials for the semiconductor industry and the scientific community; and other technologies. The company has operated for more than 175 years and maintains a strong focus on research, development, and engineering. Corning manufactures products in 14 countries and operates in five reportable segments: Optical Communications, Display, Specialty Materials, Automotive and Life Sciences.

Investment strategy

We rate Corning a Buy. We believe the company remains well positioned for secular growth and cyclical demand recovery across its various segments. We have greater conviction in margin expansion targets following recent Display price increases, amidst a more balanced to tight supply-demand environment, as well as improved optical segment results driven by AI as enterprises continue to scale out while carriers continue to scale up their networks. We also believe that the momentum in AI benefits Corning's business as higher margins should drive improved FCF generation and

working capital improvements with continued shareholder purchases. Additionally, with 34 domestic manufacturing facilities, we note Corning's domestic manufacturing footprint as a strategic advantage, enabling them to serve the increased domestic demand from major partners such as Apple. As markets recover, we expect these initiatives will drive operating income expansion ahead.

Valuation

We derive our \$220 target price based on applying a ~32x P/E multiple to our CY28 EPS discounted by a year. Given multiyear AI infrastructure build cycles and improving optical capacity and higher visibility, we now anchor valuation to 2028E earnings which better reflects structural demand. Our target multiples are higher than the stock's median multiples over the past five years (but in line with peers), reflective of the current secular dynamics in Corning's end markets. On EV/EBITDA, our target price is equivalent to applying a ~27x EV/EBITDA multiple to our NTM EBITDA 1 year from today.

Risks

Risks that could impact our target price include: 1) LCD glass market fundamentals, potentially resulting from global TV demand or average TV screen size varying negatively from expectations; 2) Corning's Optical Communications business growth differs from what we expect; 3) Recession risk continues to temper demand; 4) Yen and other foreign currency volatility; and 5) Varying capital expenditures to support the company's numerous growth initiatives and business partners.

The impact from the above could be worse than expected, resulting in the share price failing to achieve our target price.

Sandisk Corp

Company description

Sandisk is a global data storage supplier of NAND flash solutions, including SSDs, memory cards, USB sticks, portable drives, and automotive. For Client customers, the company offers SSDs for the PC, mobile, gaming, automotive, VR, at-home entertainment, and industrial spaces. The company is primarily focused on increasing its share in Enterprise, targeting the Cloud and Data Center segment. The company also leverages its strong brand name to the Consumer end-market for retail and other end-user products, including memory cards, USB sticks, and portable drives. Sandisk was founded in 1988, was then owned by Western Digital from 2016 until its spinout in Feb 2025, and is headquartered in Milpitas, CA. Sandisk's long-standing flash production JV with Kioxia began in 2000 and is signed through 2034. The partnership provides for a steady supply of NAND flash, with each company a co-owner of the production facilities with an ownership split of 51% (Kioxia)/49% (SNDK).

Investment strategy

We rate Sandisk shares Buy as the company focuses on gaining share in the growing Enterprise SSD segment amidst a highly favorable S/D environment expected to persist through CY27, with limited cleanroom capacity situation

supportive of pricing, plus durable underlying datacenter demand, coupled with its Bics8 qualifications serving as a competitive moat, and with ongoing mix to datacenter further benefiting margins longer-term. However, we remain prudently cautious on the potential for elevated price competition between key players during the process, particularly from Chinese players which remain aggressive on gaining share, and where currently underutilized industry capacity can very quickly reverse to oversupply within a small window, making the ideal conditions of price increases short-lived.

Valuation

Our target price for SNDK is \$2,100, where we value shares at 8x CY27E EPS, vs its closest competitor, Kioxia, at a median of 8x, as well as the larger peer group at 6-8x P/E, as we believe Sandisk's LTAs merit the higher range multiple vs peers. We also note most peers have DRAM exposure while SNDK does not. That said, we note Sandisk additionally has an estimated \$15-20B in invested capital (replacement cost) within the JV that is not reflected in the company's financials.

Risks

Downside risks that could impede SNDK share price from reaching our target price include:

- 1) Sandisk's efforts to increase its share in the Enterprise could take longer than expected;
- 2) Macro environment could deteriorate, adversely impacting critical datacenter spend, PC refresh, or AI-PC traction, all of which are supporting current demand conditions; and
- 3) Supply-demand imbalances or pricing competition could cause volatile pricing fluctuations, significantly impacting margins.

When considering Citi's Quantitative Risk Rating criteria, we do not rate SNDK shares as High Risk given Sandisk was already previously a publicly traded company and was simply spun out of Western Digital rather than as a new IPO.

And although it operates in a cyclical industry, Sandisk continues to be a successful, going concern with a reputable brand, IP assets, and an established JV.

Seagate Technology Holdings PLC

Company description

Seagate Technology is a global data storage supplier that generates >92% of revenue from the sale of hard disk drives (HDDs), with the remainder from non-HDD based storage (Enterprise Systems, Flash, and Other). The company's products include HDDs, solid state drives (SSDs), solid state hybrid drives, peripheral component interconnect express cards, serial advanced technology attachment controllers, storage subsystems, and computing solutions. As of the latest reported FY, Seagate's OEM customers accounted for 80% of its revenue, with Distributors and Retail customers

accounting for 12% and 8% of revenue, respectively. Geographically, 49% of sales were generated in the Americas, 10% in EMEA, and 41% in Asia Pacific. Seagate was founded in 1978 and is headquartered in Dublin, Ireland, with executive offices in Fremont, CA, and had 30,000 employees as of June 2025.

Investment strategy

We rate Seagate shares a Buy. Our Buy rating is underpinned by our view of a cyclical recovery in the HDD market from enterprise/hyperscalers which, coupled with our view of AI-driven storage demand growth, rational capacity additions, and HAMR-led cost improvements, should enable Seagate to sustain higher revenue and earnings growth ahead and resume a higher pace of shareholder returns.

Valuation

Our target price for STX is \$1,300. We value STX at 20x FY28 EPS estimates, on more durable pricing and demand datapoints, and reflective of improving margins, continued execution, and both strong and improving HDD fundamentals.

Risks

Downside risks that could impede the stock price from reaching our target price include:

- 1) returning weakness in cloud/enterprise demand from macro-induced factors could curtail storage spending, and upset the current balance in supply-demand dynamics and causing significant charges;
- 2) a decrease in SSD prices due to faster-than-expected HDD cannibalization by SSDs;
- 3) continued challenges in improving cost structure vs. the 10-15% historically; and
- 4) HAMR industry adoption stalls and competitive threats to Seagate's enterprise business from Western Digital's ePMR high-capacity drives.

Super Micro Computer, Inc.

Company description

Super Micro Computer, Inc. designs, develops, and manufactures high-performance and high-efficiency server and storage systems and solutions, globally. The company offers server and storage systems, sub-systems, and accessories that are designed to be flexible, customizable, and scalable. The company is one of the largest producers of servers with a broad range of product offerings, including complete servers, modular blade servers, blades, workstations, full racks, server sub-systems, storage systems, networking devices, server management software, and security software. Furthermore, the company offers global support and services and has in-house design capabilities that provide design control over components used in the server and storage systems. Super Micro services several end markets, including enterprise data centers, cloud computing, artificial intelligence, 5G and edge computing. Super Micro was incorporated in 1993 and is headquartered in San Jose, California.

Super Micro's extensive product portfolio includes comprehensive product offerings in servers/storage systems and subsystems/accessories consisting of components marketed under the "Building Blocks" product line brand, as well as networking products. In addition, Super Micro offers global and support services, including server and storage system integration, configuration, and software management/security solutions.

Investment strategy

We rate SMCI Neutral/High Risk (2H). The company is pivoting towards high-growth, HPC/AI computing, and we remain positive on the company's ability to be a meaningful player in the server market. With 6% of AI server revenue share (2025), Super Micro remains one of the leading players to GPU-as-a-Service cloud providers and enterprises, and we expect Super Micro to continue to benefit from broader secular trends in AI-driven infrastructure. However, our positive view is counterbalanced by significant working-capital intensity of growth, still-low margin profile and execution risk associated with converting the substantial backlog into revenue and cash flow.

Valuation

Our \$45 target price is based on applying an 8x P/E multiple to our Super Micro FY28 estimates, below its median 3-year P/E multiple of 14x. Our peer group comprises Enterprise hardware companies, including ODMs. We note the lower multiple applied to SMCI being mainly attributed to higher earnings volatility, lower margins and elevated customer concentration risk compared to peers. This is in addition to expected elevated customer diligence and tighter supplier guardrails, which may lead to some suppliers restricting components and competitive losses tied to recent indictments.

Risks

This stock is High Risk based upon our quantitative model owing to its volatility. Key risks to our target price include: 1) High customer concentration intra-quarter; 2) Margin deterioration as mix shifts to AI-servers; 3) High volatility in AI revenues given GPU allocation; 4) Increase in competitive landscape in AI servers from traditional server vendors (Dell and Lenovo) and low-cost Taiwanese ODM vendors; 5) FCF NI conversion concerns; and 6) DOJ investigation for questionable financial reporting and accounting practices along with reputational damage from recent export-control violations committed by certain individuals.

If the impact on the company from any of these factors differs from our base case expectations, the stock could have difficulty achieving our target price or could increase more than we expect.

TE Connectivity Ltd.

Company description

TE Connectivity (TEL) is a leading electronics connector company and is a spin-out company (effective 2007) of parent company Tyco International (TYC). TE Connectivity designs, manufactures, and markets about 500,000 different products for consumers within automotive, appliance, and aerospace and defense ns, as well as computer and

consumer electronic industries. It stands as a leading global provider of engineered electronic components, network solutions, and wireless systems. As of FY25, sales are segmented by Transportation ~50%, Digital Data Networks ~15%, ~Automation & Connected Living 10%, ~Energy 10%, ~Aerospace/Military/Marine 10%, and Medical 5%. The company was added to the S&P 500 in 2011.

Investment strategy

We rate TE Connectivity shares a Buy. TEL is a leading global provider of engineered electronic components, network solutions, and wireless systems across a diverse range of automotive, appliance, and aerospace and defense ns, as well as computer and consumer electronic industries with approx. 15% market share of the worldwide connector market. The Transportation Solutions segment represents ~53% of total sales (CY25) with automotive representing ~40% of total sales.

We remain broadly positive on the connector market which is expected to show continued momentum in 2026 following double-digit growth in 2025 (positive book-to-bill ratio), underpinned by strength in IT Datacom (improving broader infrastructure demand, growing AI demand amid rising cloud capex expectations), improved industrial end-market demand outlook (present inclination toward factory automation spending, positive ramp in energy and defense spending), and signs of a stabilized automotive market. We remain constructive on datacenter connector demand (content in AI servers is significantly greater than mainstream). We rate TEL a Buy given recent stabilization of the automobile market demand, an improved industrial end-demand market, and the continued growth in DDN as enterprises continue to ramp spending in AI infrastructure. We note that TEL also boasts a strong balance sheet (FY25 total debt-to-EBITDA of 1.29x) and has both consistently paid and grown its dividends.

Valuation

Our \$230 target price is based on 17x PE applied to our CY27E EPS. Our peer group comprises connectors and semis companies. The peer group trades at a median NTM PE of ~25x, with a range from 15-50x. TE Connectivity has historically traded at a discount to peers, and we believe its customer segment and end-market concentration in transportation warrants a discount. We also note historically TEL has traded at a 0.8x PE relative to the SOX, though in upcycles this premium has expanded to 1.05x.

Risks

Risks to the stock deviating from our target price include the following: 1) a further economic improvement/slowdown that impacts auto production; 2) better/worse restructuring implementation; 3) better/worse acquisition integration; 4) currency fluctuations; and 5) raw material price increases.

Western Digital

Company description

Western Digital Corporation is a global data storage supplier of hard disk drives (HDDs). The company offers mobile drives for the notebook, PC, and

gaming markets; serial attached small computer system interface drives; home video recorders; home network storage devices; and portable, desktop, and personal cloud storage. Western Digital was founded in 1970 and is headquartered in San Jose, CA.

Investment strategy

We have a Buy rating on Western Digital given our view of a cyclical recovery in the storage market, which, coupled with our view of AI-driven storage demand growth and rational capacity additions, should enable the company to sustain higher revenue and earnings growth ahead.

Valuation

Our target price for WDC is \$740 valued at 20x FY28 EPS estimates, in line with its market peer multiple given strong recent execution, demand visibility confidence, and continued outlook of solid and durable HDD supply/demand dynamics supportive of pricing and margins.

Risks

Downside risks that could impede the stock price from reaching our target price include:

- 1) returning weakness in cloud/enterprise demand from macro-induced factors could curtail storage spending, and upset the current balance in supply-demand dynamics and causing significant charges;
- 2) a decrease in SSD prices due to faster-than-expected HDD cannibalization by SSDs;
- 3) continued challenges in improving cost structure vs. the 10-15% historically; and
- 4) HAMR development roadmap stalls, allowing competitive threats to WDC's enterprise business from Seagate's earlier established HAMR high-capacity drives.

Xerox Holdings Corp.

Company description

Xerox (XRX) is one of the largest global providers of printers, copiers, and related supplies, services, and financing to Office- and Production-printing environments. Xerox offers a portfolio of hardware, software, and services to governments as well as to small to large commercial enterprises; in addition to document/content technology and digitization applications, managed print services, workflow solutions, and document outsourcing. The company is present in over 160 countries, headquartered in Norwalk, CT.

Investment strategy

We rate Xerox shares Sell/High Risk as the company continues a major restructuring in the face of flat-to-declining revenues, compounded by the company's pivot to the specialized IT Services market, which we believe will require significant time/investments to bear fruit but is however a potential headwind to their operating income improvement goal. Moreover, a key risk is that core free cash flow weakens as finance receivable monetization rolls off, exposing and pressuring the underlying cash-generation profile of the

business. If synergy realization, deleveraging, or operating improvements are delayed, the growth in operating cash flow may not fully offset the reduction in receivable-sale proceeds, resulting in lower normalized free cash flow than investors currently anticipate and impacting net EV/FCF valuation levels. While the company remains a trusted provider of printer hardware/services, Xerox has weathered the pandemic largely with heavy restructuring. While the company pursues multiple efforts to stem the structural revenue declines, it remains difficult for investors to have confidence in Xerox's combination of continued restructuring and cost cutting, while simultaneously refocusing the company on a fragmented, competitive, and OpEx-intensive IT Services market as well as concurrently improving margins. At this point, we continue to look for subsequent sustainable revenue/margin improvement to ultimately consider becoming more positive on XRX shares. XRX stock is High Risk based upon our quantitative model owing to its volatility.

Valuation

Xerox competes with similar offerings from mature global imaging hardware companies such as Seiko Epson, Canon, Brother, Konica Minolta, Ricoh, and HP Inc. We value XRX shares at \$2.50 based on a ~0.49x EV/Sales multiple (down from \$3.45 and ~0.56x prior), at the low end of current peer valuations given the company's extensive restructuring, reliance on Lexmark integration, and exposure to a mature and structurally challenged print market. While we incorporate the company's expectation of stated net debt leverage reduction to 3.9x in 4Q26 (from 5.1x in 2Q26), we believe a valuation discount is warranted given uncertainty surrounding the durability of free cash flow, where the company has benefited meaningfully from finance receivable monetization, including approximately \$335M of expected FY26 forward-flow proceeds, which management has acknowledged will decline over time. As this tailwind fades, investors have limited visibility into whether current efforts in operating improvements, synergy realization, IT Services growth, and deleveraging can successfully offset the reduction in cash generation. Until Xerox demonstrates a sustainable post-monetization FCF profile, we believe normalized valuation metrics are less compelling than headline multiples suggest.

Risks

This stock is High Risk based upon our quantitative model owing to its volatility.

Specific risks that could cause the stock to vary from our estimates and/or target price include:

- The company's reliance on 2H growth and heightened 2H execution risk – making execution on backlog conversion, IT Solutions salesforce productivity, and synergy delivery critical.
- Subsequent concerns include the potential for negative macro changes and the resulting impact on capital spending, employment rates, and pages printed, leading to the impacts on business demand for office printing equipment.
- As the print industry continues to consolidate, and as printing and office technology mature, this could cause Xerox to either be an acquisition target or have the company feel the need to make acquisitions itself, in addition to the potential for the company to be taken private.
- Meanwhile, further successful reduction of debt and subsequent significant reduction in leverage could create upside for shares.

- As could the potential for higher than expected cost savings as a result of productivity initiatives, as well as the potential for variance in mix of revenues from the higher end of the company's portfolio.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by “AC” in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Logitech International (LOGI)

Ratings and Target Price History
Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	25-Oct-23 03:35:45	2	*80.00	76.76
2	17-Jan-24 04:00:00	2	*98.00	93.75
3	04-Apr-24 02:00:00	2	*100.00	87.56
4	24-Jul-24 14:21:07	2	*102.00	88.64
5	25-Oct-24 14:42:53	2	*92.00	80.71

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	28-Jan-25 21:43:08	2	*105.00	92.96
7	14-Apr-25 05:00:00	2	*75.00	73.47
8	02-May-25 13:51:48	2	*85.00	78.15
9	11-Jul-25 04:00:00	2	*100.00	94.14
10	15-Oct-25 05:00:00	*1	*130.00	108.53

	Date	Rating	Target Price	Closing Price
11	19-Jan-26 19:00:00	1	*115.00	95.48
12	06-May-26 05:12:04	1	*124.00	103.42
13	28-Jul-26 23:40:34	1	*120.00	111.66

Rating/target price changes above reflect Eastern Time

Amphenol Corp (APH)

Ratings and Target Price History
Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	05-Jan-24 05:00:25	1	*29.25	23.62
2	04-Apr-24 02:00:00	1	*33.75	28.78
3	28-May-24 05:00:00	1	*40.00	33.50
4	12-Jul-24 03:00:00	1	*40.50	34.93
5	17-Jan-25 04:00:00	1	*41.00	34.71
6	22-Jan-25 22:55:21	1	*44.50	38.92
7	14-Apr-25 05:00:00	1	*37.50	32.73

*Indicates Change

	Date	Rating	Target Price	Closing Price
8	23-Apr-25 22:21:57	1	*42.50	35.58
9	26-May-25 22:00:10	1	*50.00	42.78
10	11-Jul-25 03:00:00	1	*57.50	49.38
11	23-Jul-25 20:30:40	1	*62.50	50.36
12	23-Sep-25 18:23:16	1	*72.50	62.70
13	22-Oct-25 22:06:21	1	*80.00	64.47
14	12-Jan-26 05:00:00	1	*87.50	72.56

	Date	Rating	Target Price	Closing Price
15	28-Jan-26 20:58:14	1	*90.00	72.98
16	08-Apr-26 07:03:35	1	*85.00	67.66
17	29-Apr-26 23:37:36	1	*90.00	74.19
18	13-Jul-26 03:42:28	1	*97.50	78.00
19	29-Jul-26 17:51:29	1	*105.00	75.16

Rating/target price changes above reflect Eastern Time

Xerox Holdings Corp. (XRX)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	28-Jun-24 02:00:21	3	*11.00	11.62
2	25-Jul-24 15:35:15	3	*10.50	10.82
3	30-Oct-24 06:43:22	3	*7.00	8.23

	Date	Rating	Target Price	Closing Price
4	23-Dec-24 09:07:34		-	9.45
5	15-Aug-25 17:30:08	*2H	*4.50	4.02
6	07-Nov-25 17:00:00	2H	*3.50	3.06

	Date	Rating	Target Price	Closing Price
7	29-Jan-26 17:00:35	2H	*2.50	2.04
8	31-Jul-26 03:36:34	2H	*3.45	2.95

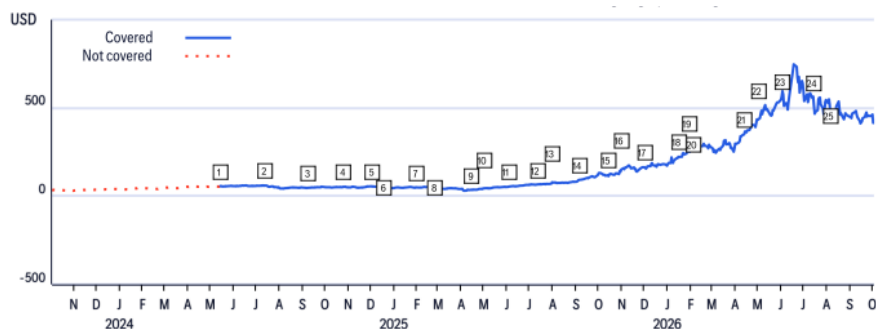
*Indicates Change

Rating/target price changes above reflect Eastern Time

Western Digital (WDC)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	14-May-24 03:30:00	*1	*68.01	55.65
2	12-Jul-24 03:00:00	1	*71.79	59.61
3	09-Sep-24 19:32:14	1	*64.23	47.34
4	25-Oct-24 04:08:51	1	*65.74	52.48
5	02-Dec-24 18:28:07	1	*64.23	55.51
6	19-Dec-24 06:30:00	1	*61.96	45.06
7	30-Jan-25 01:59:33	1	*60.45	49.73
8	24-Feb-25 17:12:10	1	*64.00	48.97
9	14-Apr-25 05:00:00	1	*48.00	35.81

	Date	Rating	Target Price	Closing Price
10	30-Apr-25 21:49:48	1	*56.00	43.88
11	03-Jun-25 16:41:58	1	*62.00	53.75
12	11-Jul-25 04:00:00	1	*78.00	66.13
13	31-Jul-25 02:57:56	1	*88.00	78.66
14	07-Sep-25 21:24:48	1	*110.00	92.05
15	13-Oct-25 00:10:56	1	*135.00	118.88
16	31-Oct-25 05:43:04	1	*180.00	150.26
17	01-Dec-25 23:07:43	1	*200.00	163.58
18	19-Jan-26 19:00:00	1	*280.00	221.52

	Date	Rating	Target Price	Closing Price
19	30-Jan-26 03:14:41	1	*325.00	250.11
20	03-Feb-26 21:23:12	1	*335.00	290.34
21	13-Apr-26 03:59:36	1	*405.00	350.18
22	01-May-26 02:42:15	1	*500.00	431.62
23	02-Jun-26 06:01:17	1	*685.00	563.14
24	13-Jul-26 03:42:28	1	*800.00	555.30
25	06-Aug-26 04:18:42	1	*740.00	450.90

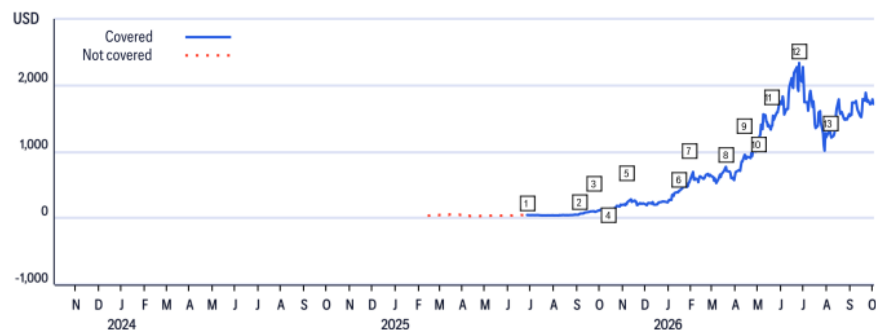
*Indicates Change

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	26-Jun-25 04:00:00	*1	*57.00	47.44
2	07-Sep-25 21:24:48	1	*80.00	68.55
3	24-Sep-25 04:00:00	1	*125.00	99.83
4	13-Oct-25 00:10:56	1	*150.00	134.61
5	07-Nov-25 00:50:25	1	*280.00	239.48

	Date	Rating	Target Price	Closing Price
6	19-Jan-26 19:00:00	1	*490.00	413.62
7	30-Jan-26 06:41:51	1	*750.00	576.25
8	19-Mar-26 06:19:51	1	*875.00	772.09
9	13-Apr-26 03:59:36	1	*980.00	952.50
10	01-May-26 01:36:50	1	*1,300.00	1,187.00

	Date	Rating	Target Price	Closing Price
11	19-May-26 01:25:29	1	*2,025.00	1,383.29
12	25-Jun-26 00:52:56	1	*2,500.00	2,335.00
13	06-Aug-26 03:38:55	1	*2,100.00	1,258.58

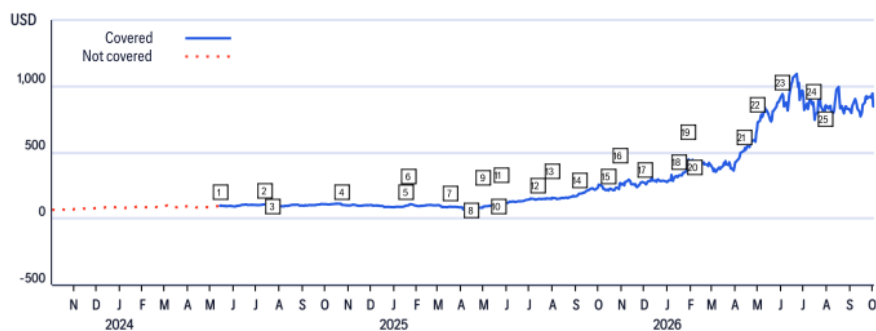
*Indicates Change

Rating/target price changes above reflect Eastern Time

Seagate Technology Holdings PLC (STX)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	14-May-24 03:30:00	*1	*110.00	96.24
2	12-Jul-24 03:00:00	1	*120.00	107.10
3	23-Jul-24 23:30:42	1	*125.00	105.35
4	23-Oct-24 01:19:09	1	*130.00	103.51
5	17-Jan-25 04:00:00	1	*120.00	97.68
6	21-Jan-25 23:07:17	1	*125.00	101.29
7	17-Mar-25 16:41:16	1	*115.00	90.52
8	14-Apr-25 05:00:00	1	*90.00	72.61
9	30-Apr-25 01:28:25	1	*105.00	91.02

*Indicates Change

	Date	Rating	Target Price	Closing Price
10	19-May-25 10:00:00	1	*125.00	109.07
11	23-May-25 02:34:09	1	*140.00	112.77
12	11-Jul-25 04:00:00	1	*170.00	147.20
13	30-Jul-25 01:37:03	1	*167.00	147.40
14	07-Sep-25 21:24:48	1	*215.00	188.10
15	13-Oct-25 00:10:56	1	*250.00	219.56
16	29-Oct-25 03:00:31	1	*275.00	265.66
17	01-Dec-25 23:07:43	1	*320.00	270.09
18	19-Jan-26 19:00:00	1	*385.00	326.59

	Date	Rating	Target Price	Closing Price
19	28-Jan-26 01:22:09	1	*460.00	443.04
20	05-Feb-26 19:00:00	1	*480.00	405.68
21	13-Apr-26 03:59:36	1	*595.00	513.14
22	29-Apr-26 00:33:40	1	*740.00	643.66
23	02-Jun-26 06:01:17	1	*1,150.00	926.80
24	13-Jul-26 03:42:28	1	*1,240.00	860.44
25	29-Jul-26 00:48:52	1	*1,300.00	764.36

Rating/target price changes above reflect Eastern Time

TE Connectivity Ltd. (TEL)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	05-Jan-24 05:00:25	2	*146.00	132.35
2	24-Jan-24 22:16:02	2	*156.00	143.63
3	25-Jul-24 14:33:16	2	*160.00	154.54
4	22-Jan-25 13:40:33	2	*165.00	155.09

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	14-Apr-25 05:00:00	2	*142.00	129.95
6	23-Apr-25 16:08:47	2	*150.00	136.06
7	11-Jul-25 03:00:00	*1	*200.00	177.11
8	23-Jul-25 18:11:39	1	*230.00	202.04

	Date	Rating	Target Price	Closing Price
9	23-Sep-25 18:23:16	1	*250.00	219.66
10	29-Oct-25 17:42:18	1	*290.00	240.76
11	08-Apr-26 07:03:35	1	*250.00	223.03
12	13-Jul-26 03:42:28	1	*230.00	198.18

Rating/target price changes above reflect Eastern Time

CDW Corp (CDW)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	17-Jan-24 04:00:00	1	*255.00	219.07
2	04-Apr-24 02:00:00	1	*295.00	252.54
3	01-May-24 22:05:46	1	*260.00	214.61
4	31-Jul-24 16:53:13	1	*250.00	218.11
5	01-Oct-24 01:00:00	*2	*245.00	217.81

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	30-Oct-24 17:49:37	2	*220.00	195.06
7	14-Apr-25 05:00:00	2	*160.00	151.74
8	07-May-25 18:41:24	2	*180.00	175.52
9	11-Jul-25 04:00:00	2	*200.00	177.38
10	05-Nov-25 13:56:25	2	*160.00	146.32

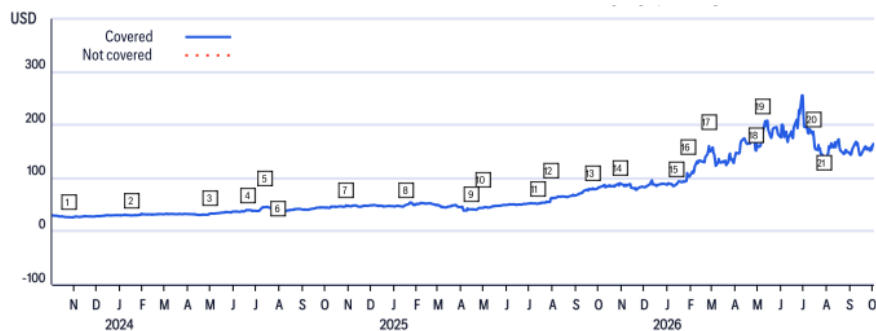
	Date	Rating	Target Price	Closing Price
11	19-Jan-26 19:00:00	2	*148.00	131.75
12	04-Feb-26 23:25:11	2	*150.00	138.08
13	07-May-26 22:10:04	2	*123.00	110.20
14	13-Jul-26 03:42:28	2	*145.00	144.36
15	06-Aug-26 02:14:46	2	*150.00	141.97

Rating/target price changes above reflect Eastern Time

Corning Incorporated (GLW)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	25-Oct-23 04:30:42	1	*36.00	26.78
2	17-Jan-24 04:00:00	1	*35.00	29.85
3	01-May-24 06:23:57	1	*38.00	33.48
4	20-Jun-24 18:08:44	1	*45.00	39.85
5	12-Jul-24 03:00:00	1	*51.00	45.62
6	30-Jul-24 19:17:03	1	*50.00	39.74
7	29-Oct-24 17:38:11	1	*55.00	49.03

	Date	Rating	Target Price	Closing Price
8	20-Jan-25 22:32:20	1	*58.00	49.84
9	14-Apr-25 05:00:00	1	*50.00	41.61
10	29-Apr-25 16:15:30	1	*52.00	44.46
11	11-Jul-25 03:00:00	1	*60.00	51.60
12	29-Jul-25 15:18:08	1	*72.00	61.98
13	23-Sep-25 18:23:16	1	*93.00	81.00
14	29-Oct-25 00:34:13	1	*99.00	90.29

	Date	Rating	Target Price	Closing Price
15	12-Jan-26 05:00:00	1	*102.00	87.88
16	28-Jan-26 20:50:30	1	*120.00	104.28
17	24-Feb-26 19:04:05	1	*170.00	151.59
18	28-Apr-26 21:11:01	1	*175.00	153.05
19	06-May-26 18:20:27	1	*225.00	181.57
20	13-Jul-26 03:42:28	1	*240.00	183.11
21	28-Jul-26 15:28:38	1	*220.00	126.01

*Indicates Change

Rating/target price changes above reflect Eastern Time

Super Micro Computer, Inc. (SMCI)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	25-Apr-25 04:00:58	*2H	*39.00	36.47
2	07-May-25 00:13:22	2H	*37.00	32.48
3	11-Jul-25 03:00:00	2H	*52.00	49.24

	Date	Rating	Target Price	Closing Price
4	06-Aug-25 06:19:48	2H	*48.00	46.79
5	19-Jan-26 19:00:00	2H	*39.00	32.64
6	23-Mar-26 23:01:51	2H	*25.00	21.58

	Date	Rating	Target Price	Closing Price
7	06-May-26 00:07:21	2H	*31.00	34.66
8	13-Jul-26 03:42:28	2H	*33.00	27.66
9	12-Aug-26 03:52:32	2H	*39.00	37.61

*Indicates Change

Rating/target price changes above reflect Eastern Time

Bel Fuse Inc (BELFB)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	13-Jul-26 05:00:23	*1	*325.00	263.26

*Indicates Change

Rating/target price changes above reflect Eastern Time

Corning Incorporated (GLW)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Sep-24 02:38:14	Add CW	Upside	90 Days	40.64
2	29-Oct-24 13:38:11	Remove CW	Upside	90 Days	49.03
3	12-Mar-25 18:00:00	Add CW	Upside	90 Days	45.40
4	10-Jun-25 12:05:51	Remove CW	Upside	90 Days	50.61
5	29-Jul-25 11:18:08	Add STV	Upside	90 Days	61.98

	Date	Action	Expected Direction	Duration	Closing Price
6	27-Oct-25 12:20:08	Remove STV	Upside	90 Days	89.37
7	28-Oct-25 20:34:13	Add STV	Upside	90 Days	86.43
8	27-Jan-26 11:11:49	Remove STV	Upside	90 Days	109.74
9	24-Feb-26 14:04:05	Add CW	Upside	30 Days	151.59
10	26-Mar-26 15:33:22	Remove CW	Upside	30 Days	135.32

	Date	Action	Expected Direction	Duration	Closing Price
11	08-Apr-26 03:03:35	Add STV	Upside	30 Days	165.10
12	08-May-26 12:13:20	Remove STV	Upside	30 Days	186.94
13	08-Jun-26 05:43:30	Add STV	Upside	30 Days	187.54
14	08-Jul-26 12:21:29	Remove STV	Upside	30 Days	184.03

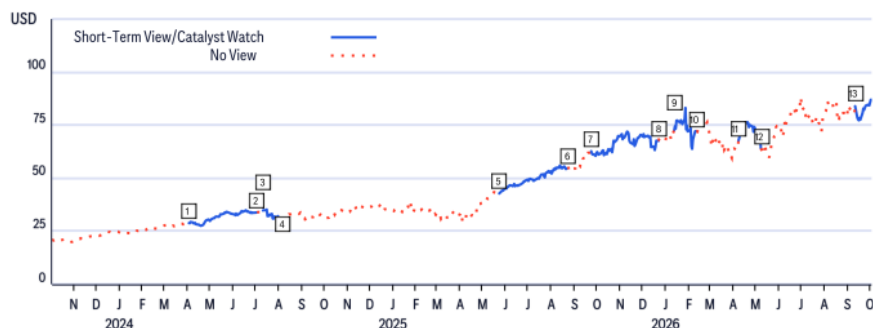
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Amphenol Corp (APH)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	03-Apr-24 22:00:00	Add CW	Upside	90 Days	28.84
2	03-Jul-24 12:04:59	Remove CW	Upside	90 Days	33.90
3	11-Jul-24 23:00:00	Add CW	Upside	90 Days	34.77
4	06-Aug-24 16:07:51	Remove CW	Upside	90 Days	29.94
5	26-May-25 18:00:10	Add STV	Upside	90 Days	42.78

	Date	Action	Expected Direction	Duration	Closing Price
6	22-Aug-25 14:19:09	Remove STV	Upside	90 Days	54.68
7	23-Sep-25 14:23:16	Add STV	Upside	90 Days	62.70
8	22-Dec-25 11:24:38	Remove STV	Upside	90 Days	67.57
9	12-Jan-26 00:00:00	Add STV	Upside	30 Days	72.56
10	11-Feb-26 11:15:07	Remove STV	Upside	30 Days	72.02

	Date	Action	Expected Direction	Duration	Closing Price
11	08-Apr-26 03:03:35	Add STV	Upside	30 Days	67.66
12	08-May-26 12:13:10	Remove STV	Upside	30 Days	64.02
13	13-Sep-26 16:00:00	Add CW	Upside	90 Days	83.92

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

CDW Corp (CDW)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	01-Nov-23 17:00:36	Remove CW	Upside	90 Days	199.16

	Date	Action	Expected Direction	Duration	Closing Price
2	03-Apr-24 22:00:00	Add CW	Upside	90 Days	255.76

	Date	Action	Expected Direction	Duration	Closing Price
3	01-May-24 18:05:46	Remove CW	Upside	90 Days	214.61

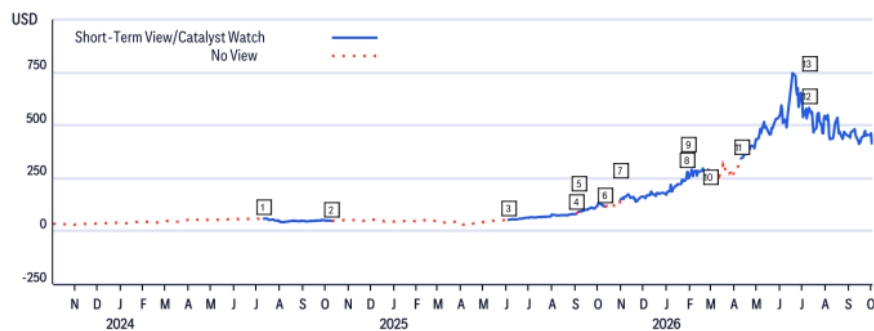
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Western Digital (WDC)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Jul-24 23:00:00	Add STV	Upside	90 Days	58.85
2	10-Oct-24 08:26:14	Remove STV	Upside	90 Days	48.38
3	03-Jun-25 12:41:58	Add STV	Upside	90 Days	53.75
4	02-Sep-25 08:16:05	Remove STV	Upside	90 Days	81.91
5	07-Sep-25 17:24:48	Add STV	Upside	90 Days	92.05

	Date	Action	Expected Direction	Duration	Closing Price
6	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	115.37
7	31-Oct-25 01:43:04	Add STV	Upside	90 Days	150.26
8	29-Jan-26 06:11:50	Remove STV	Upside	90 Days	278.45
9	29-Jan-26 22:14:41	Add STV	Upside	30 Days	278.45
10	27-Feb-26 12:28:10	Remove STV	Upside	30 Days	279.65

	Date	Action	Expected Direction	Duration	Closing Price
11	12-Apr-26 23:59:36	Add STV	Upside	90 Days	343.49
12	10-Jul-26 14:21:17	Remove STV	Upside	90 Days	582.34
13	12-Jul-26 23:42:28	Add STV	Upside	90 Days	582.34

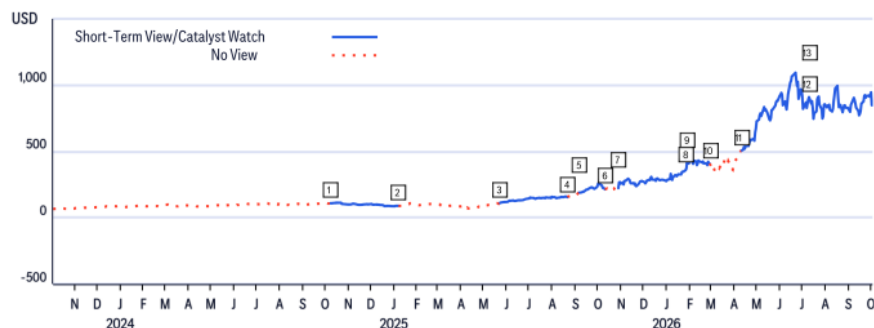
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Seagate Technology Holdings PLC (STX)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Oct-24 16:00:00	Add STV	Upside	90 Days	108.68
2	07-Jan-25 06:28:12	Remove STV	Upside	90 Days	89.54
3	22-May-25 22:34:09	Add STV	Upside	90 Days	108.67
4	21-Aug-25 08:19:08	Remove STV	Upside	90 Days	154.55
5	07-Sep-25 17:24:48	Add STV	Upside	90 Days	188.10

	Date	Action	Expected Direction	Duration	Closing Price
6	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	214.40
7	28-Oct-25 23:00:31	Add STV	Upside	90 Days	222.59
8	27-Jan-26 06:11:49	Remove STV	Upside	90 Days	372.02
9	27-Jan-26 20:22:09	Add STV	Upside	30 Days	372.02
10	27-Feb-26 06:27:36	Remove STV	Upside	30 Days	407.87

	Date	Action	Expected Direction	Duration	Closing Price
11	12-Apr-26 23:59:36	Add STV	Upside	90 Days	503.04
12	10-Jul-26 14:21:07	Remove STV	Upside	90 Days	909.10
13	12-Jul-26 23:42:28	Add STV	Upside	90 Days	909.10

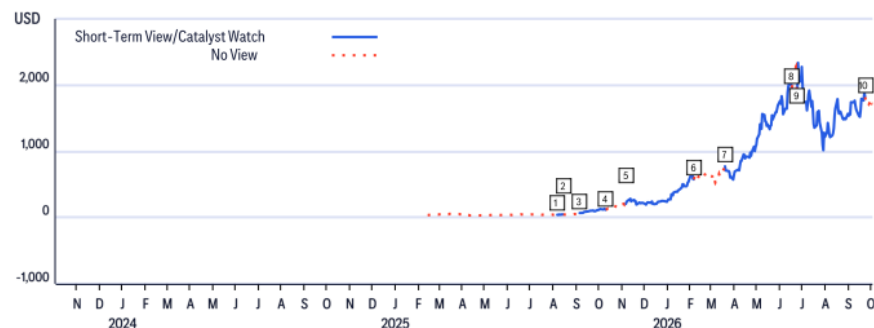
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Aug-25 13:53:54	Add STV	Upside	90 Days	42.10
2	14-Aug-25 22:45:08	Remove STV	Upside	90 Days	46.68
3	07-Sep-25 17:24:48	Add STV	Upside	90 Days	68.55
4	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	116.91

	Date	Action	Expected Direction	Duration	Closing Price
5	06-Nov-25 19:50:25	Add STV	Upside	90 Days	207.69
6	05-Feb-26 11:27:43	Remove STV	Upside	90 Days	576.20
7	19-Mar-26 02:19:51	Add STV	Upside	90 Days	772.09
8	17-Jun-26 12:08:44	Remove STV	Upside	90 Days	1,958.80

	Date	Action	Expected Direction	Duration	Closing Price
9	24-Jun-26 20:52:56	Add STV	Upside	90 Days	1,914.46
10	23-Sep-26 12:04:31	Remove STV	Upside	90 Days	1,816.57

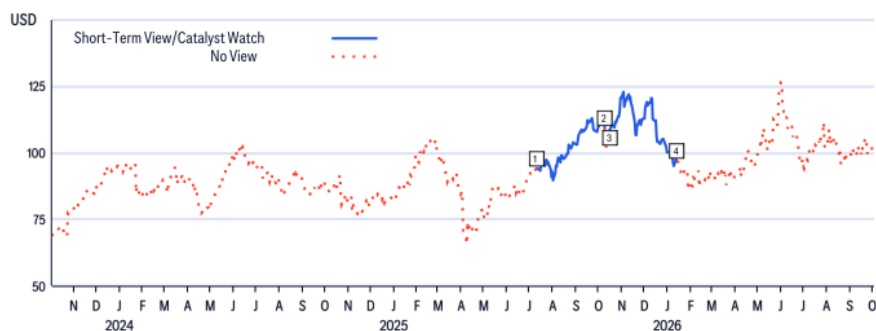
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Logitech International (LOGI)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Jul-25 00:00:00	Add STV	Upside	90 Days	94.14
2	09-Oct-25 12:20:08	Remove STV	Upside	90 Days	109.29
3	15-Oct-25 01:00:00	Add STV	Upside	90 Days	108.53
4	13-Jan-26 11:04:07	Remove STV	Upside	90 Days	96.79

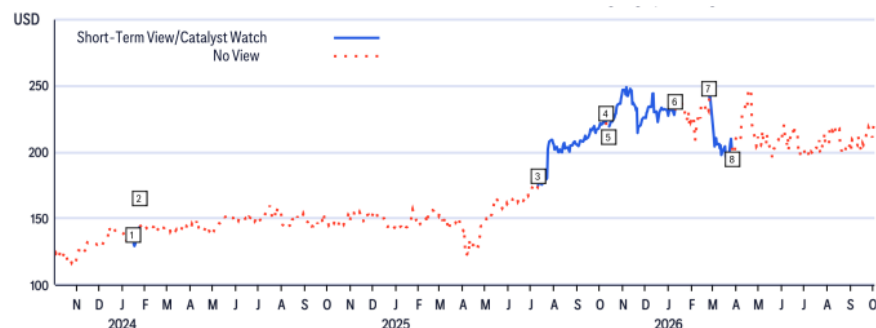
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

TE Connectivity Ltd. (TEL)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	16-Jan-24 23:00:00	Add CW	Downside	90 Days	130.74
2	24-Jan-24 17:16:02	Remove CW	Downside	90 Days	143.83
3	10-Jul-25 23:00:00	Add STV	Upside	90 Days	175.03
4	09-Oct-25 12:19:55	Remove STV	Upside	90 Days	222.46
5	13-Oct-25 00:00:00	Add STV	Upside	90 Days	219.38
6	09-Jan-26 12:28:45	Remove STV	Upside	90 Days	231.60
7	24-Feb-26 14:04:05	Add CW	Downside	30 Days	241.44
8	26-Mar-26 12:03:34	Remove CW	Downside	30 Days	203.20

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

A member of Citigroup's Board of Directors is also on the Board of Directors of Hewlett Packard Enterprise Co.

Citigroup Global Markets Inc. or its affiliates has a net long position of 0.5% or more of any class of common equity securities of Super Micro Computer, Inc., Western Digital.

Within the past 12 months, Citigroup Global Markets Inc. or its affiliates has acted as manager or co-manager of an offering of securities of Amphenol Corp, Bel Fuse Inc, Hewlett Packard Enterprise, Sandisk Corp, Super Micro Computer, Inc..

Citigroup Global Markets Inc. or its affiliates has received compensation for investment banking services provided within the past 12 months from Amphenol Corp, Apple, Inc., Bel Fuse Inc, Dell Technologies, Hewlett Packard Enterprise, Micron Technology Inc, Sandisk Corp, Super Micro Computer, Inc., TE Connectivity Ltd., Western Digital, Xerox Holdings Corp..

Citigroup Global Markets Inc. or its affiliates expects to receive or intends to seek, within the next three months, compensation for investment banking services from Amphenol Corp, Sandisk Corp, TE Connectivity Ltd..

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Amphenol Corp, Apple, Inc., Bel Fuse Inc, CDW Corp, Corning Incorporated, Dell Technologies, Everpure, Inc, HP Inc, Hewlett Packard Enterprise, Logitech International, Micron Technology Inc, NetApp Inc., Sandisk Corp, Seagate Technology Holdings PLC, Super Micro Computer, Inc., TE Connectivity Ltd., Western Digital, Xerox Holdings Corp. in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as investment banking client(s): Amphenol Corp, Apple, Inc., Bel Fuse Inc, Dell Technologies, Hewlett Packard Enterprise, Micron Technology Inc, Sandisk Corp, Super Micro Computer, Inc., TE Connectivity Ltd., Western Digital, Xerox Holdings Corp..

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: Amphenol Corp, Apple, Inc., Corning Incorporated, Dell Technologies, Everpure, Inc, HP Inc, Hewlett Packard Enterprise, Logitech International, Micron Technology Inc, NetApp Inc., Sandisk Corp, Seagate Technology Holdings PLC, Super Micro Computer, Inc., TE Connectivity Ltd., Western Digital, Xerox Holdings Corp..

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: Amphenol Corp, Apple, Inc., Bel Fuse Inc, CDW Corp, Corning Incorporated, Dell Technologies, Everpure, Inc, HP Inc, Hewlett Packard Enterprise, Logitech International, Micron Technology Inc, NetApp Inc., Sandisk Corp, Seagate Technology Holdings PLC, Super Micro Computer, Inc., TE Connectivity Ltd., Western Digital, Xerox Holdings Corp..

Citigroup Global Markets Inc. and/or its affiliates has a significant financial interest in relation to Amphenol Corp., Apple, Inc., Corning Incorporated, Dell Technologies, HP Inc., Hewlett Packard Enterprise, Logitech International, Micron Technology Inc., NetApp Inc., Sandisk Corp., Seagate Technology Holdings PLC, Super Micro Computer, Inc., TE Connectivity Ltd., Western Digital, Xerox Holdings Corp.. (For an explanation of the determination of significant financial interest, please refer to the policy for managing conflicts of interest which can be found at www.citiVelocity.com.)

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Oct 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be

published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

Privately held companies:

The legal entities through which Citi conducts its business do not permit investment research recommendations, ratings, target prices, or estimates on any privately held companies ("private companies") referenced herein. Citi Research does not utilize a rating system for private companies. Any information on private companies in this report is based on generally available information and, although obtained from sources believed by Citi to be reliable, its accuracy and completeness are not guaranteed. Private companies are generally not subject to reporting obligations, which may result in less publicly available information. The information contained in this report may differ from information a private company may subsequently make public or otherwise share with investors. Continuation of publishing private company reports or private company sections within reports is at Citi's discretion, in accordance with internal policies.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Inc.

Michael Cadiz

Citigroup Global Markets Canada Inc.

Asiya Merchant, CFA

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q2 2026 Buy 33%(63%), Hold 44%(51%), Sell 23%(49%), RV 0.5%(87%); Q1 2026 Buy 33%(63%), Hold 44%(52%), Sell 23%(46%), RV 0.5%(89%); Q4 2025 Buy 33%(63%), Hold 44%(50%), Sell 23%(46%), RV 0.4%(91%); Q3 2025 Buy 33%(61%), Hold 44%(52%), Sell 23%(50%), RV 0.4%(80%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and

other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates. Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for

example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority. The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia :This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für
tungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai - 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is 26657, and its Compliance Officer [Vishal Bohra] contact details are: Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at <https://www.citivelocity.com/rendition/VXNILmhObWw/L0dETVMvcHVj>

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The

securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in a CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd – Al Olaya Dist. Unit No. 18, Riyadh 12214 – 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/tList.xml&divisionId=MDISO300200200000&serviceld=SDISO3002002000>. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul. Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold/Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products

mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Büyükdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and ties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States and Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für tungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST
